

Certification

I, Annabelle T. Abunda, Finance and Compliance Officer of Wellex Industries, Inc., with SEC registration number 0000011790 with principal office at 35th Flr. One Corporate Center, Doña Julia Vargas, cor. Meralco Ave., Ortigas Center, Pasig City, on oath state:

- 1) That on behalf of Wellex Industries, Inc., I have caused this Third (3rd) Quarterly Report SEC Form 17-Q 2025 to be prepared;
- 2) That I read and understood its contents which are true and correct of my own personal knowledge and/or based on true records;
- 3) That the company, Wellex Industries, Inc., will comply with the requirements set forth in SEC Notice dated June 24, 2020 for a complete and official submission of reports and/or documents through electronic mail; and
- 4) That I fully aware that documents filed online which requires pre-evaluation and/or processing fee shall be considered complete and officially received only upon payment of a filing fee.

IN WITNESS WHEREOF, I have hereto set my hands this OCT 28 2025 day of _____, 2025.



Affiant

TIN: 205-231-659

SUBSCRIBED AND SWORN to before me this _____ day of _____, 2025.

OCT 28 2025

NOTARY PUBLIC

JOC. NO. 205
PAGE NO. 42
BOOK NO. 196
SERIES OF 2025

PASIG CITY

FERDINAND D. AYAHAO

Notary Public

For and in Pasig City and the Municipality of Pateros
Appointment No. 96 (2014-2025) valid until 12/31/2025
MCLE Exemption No. VIII-B-0003254, until 04/14/28
Roll No. 46377; IBP LRN 02050, OR 535346; 06/21/2001
TIN 123-011-785; FTR 2831461AA; 01/03/25; Pasig City
U-5, G/F West Tower PSE, Exchange Road
Ortigas Center, Pasig City Tel. +632-86314090

COVER SHEET

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SEC Registration No.

W E L L E X I N D U S T R I E S , I N C .
A N D S U B S I D I A R I E S

(Company's Full Name)

3 5 T H F L R . O N E C O R P O R A T E C E N T E R

D O Ñ A J U L I A V A R G A S C O R . M E R A L C O

A V E S . , O R T I G A S C E N T E R , P A S I G C I T Y

(Business Address : No. Street City / Town / Province)

Amando J. Ponsaran, Jr.

Contact Person

(632) 8706-7888

Contact Telephone No.

1 2

Fiscal Year

3 1

1 7 - Q

FORM TYPE

Every 3rd Monday
of July

Month Day
Annual Meeting

Secondary License Type, If Applicable

Dept. Requiring this Doc.

Amended Articles
Number/Section

Total Amount of Borrowings

1,000

Total No. of Stockholders

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document I.D.

Cashier

STAMPS

Remarks = pls. use black ink for scanning purposes

3RD QUARTER REPORT: WIN

**SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q**

**QUARTERLY REPORT PURSUANT TO SECTION 11
OF THE SECURITIES REGULATION CODE AND SECTION 141
OF THE CORPORATION CODE OF THE PHILIPPINES**

1. For the Quarterly Period ended **September 30, 2025**
2. SEC Identification Number: **11790**
3. BIR Tax Identification No.: **003-946-426-000**
4. **WELLEX INDUSTRIES, INCORPORATED**
Exact name of registrant as specified in its charter
5. **Metro Manila, Philippines**
(Province, country or other jurisdiction of incorporation or organization)
6. (SEC Use only)
Industry Classification Code
7. **35th Flr. One Corporate Center, Doña Julia Vargas cor. Meralco Aves., Ortigas Center, Pasig**
Address of principal office **Postal Code 1605**
8. **Telephone No. (02) 8706-7888**
Registrant's telephone number, including area code
9. **Not applicable**
Former name, former address, and former fiscal year, if changed since last report.
10. Securities registered pursuant to Sections 4 and 8 of the RSA :

<u>Title of Each Class</u>	<u>No. of Shares of Common Stock Outstanding: and Amount of Debt Outstanding</u>
Common Shares – ₱1.00 par value	Issued - ₱3,276,035,637

11. Are any or all of these securities listed on the Philippine Stock Exchange?

Yes [x]

No. []

12. Check whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17 thereunder or

Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding 12 months (or for such shorter period that the registrant was required to file such reports);

Yes ☒] No ☐]

(b) has been subject to such filing requirements for the past 90 days.

Yes ☒] No ☐]

13. The aggregate market value of the voting stock held by non-affiliates: ₱389,919,806

14. Not Applicable

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements

See Annex A.1 to A.4, and the accompanying notes to financial statements

Item 2. Management Discussion and Analysis of Financial Condition and Results of Operations

	Amounts in PhP			
	Jul – Sept 2025	Jul – Sept 2024	Jan – Sept 2025	Jan – Sept 2024
Income Statement				
Rental Income	₱4,998,937	₱7,080,741	₱19,438,227	₱24,471,671
Direct Costs and Expenses	766,397	766,397	2,372,745	2,299,191
Gross Profit	4,232,540	6,314,344	17,065,482	22,172,480
Operating Expenses	5,803,157	5,919,887	22,430,962	22,339,010
Income (Loss) from Operations	(1,570,617)	394,457	(5,365,480)	(166,530)
Other Income	82,923	83,012	249,194	248,307
Other Expense	–	–	–	(600,776)
Loss before Tax	(1,487,694)	477,469	(5,116,286)	(518,999)
Income Tax Expense	–	–	–	–
Net Loss for the period	(1,487,694)	477,469	(5,116,286)	(518,999)
Loss per share	(₱0.0004)	₱0.0001	(₱0.0016)	(₱0.0002)

	September 30, 2025	September 30, 2024	December 31, 2024
Balance Sheet			
Current Assets	₱62,575,938	₱57,577,319	₱60,349,587
Noncurrent Assets	1,757,220,025	1,561,818,338	1,759,983,157
Total Assets	1,819,795,963	1,619,395,657	1,820,332,744
Current Liabilities	12,257,190	17,485,725	14,234,212
Noncurrent Liabilities	410,454,485	398,674,300	403,897,958
Total Liabilities	422,711,675	416,160,025	418,132,170
Stockholders' Equity	1,397,084,288	1,203,235,632	1,402,200,574
Total Liabilities and Equity	₱1,819,795,963	₱1,619,395,657	₱1,820,332,744

Quarter ended September 30, 2025 as compared with quarter ended September 30, 2024

As of the quarter ending September 30, 2025, the company continues to lease out its warehouse facilities. Total revenue recorded for the 3rd quarter of 2025 amounted to ₱5 million as compared to the same quarter of 2024 amounting to ₱7.1 million or a decrease of ₱2.1 million or 29.58% due to some tenants who don't renew their lease contracts for the current quarter e.g. San Miguel Brewery, Inc. Number of areas being leased out for the 3rd quarter of 2025 was only twenty (20) as compared thirty-one (31) on the 3rd quarter of 2024.

Income/(Loss) per share comparison for the quarter ended September 30, 2025 and 2024 are (₱0.0004) and ₱0.0001, respectively.

For the quarter ended September 30, 2025, there are nineteen (19) companies leasing inside the PCIC compound occupying twenty (20) areas. List of companies are as follows:

	Tenants	Co.	Area in sqm	Contract Period	2nd Qtr Rental Income (in PhP)
1	CRISTINE GUEVARRA - bldg 34A	ICC	2,000	10/01/24 - 09/30/25	360,000
2	SUPERIOR GOODS TRADING – bldg. 37	ICC	1,080	04/01/25 - 07/30/25	144,643
3	ABS ALL BEST SUPPLIES INC. - Bldg 37 Yard	ICC	400	04/01/25 - 09/30/25	85,714
4	ASILO LOGISTICS AND FREIGHT SERVICES - SPF Yard	ICC	500	01/17/25 - 01/16/26	107,143

5	JESSIE LYN B. TAJALE – B43	KCC	1,100	01/01/25 - 12/31/25	275,000
6	MG TANLIMCO CO. – B38-B	KCC	1,773	08/01/24 - 07/31/25	221,625
7	HAKIMA TRUCKING SERVICES – open yard	KCC	1,000	09/15/24 - 09/14/26	196,429
8	FUDSOURCE CORPORATION – bldg 30-B	KCC	795	09/15/24 - 09/14/25	212,946
9	RCAC Airconditioning Corporation – B-35	KCC	625	04/01/25 - 09/30/25	251,116
10	GOENG MARKETING, INC. – Office B26	PPC	524	01/01/25 - 12/31/25	210,536
11	FUDSOURCE CORPORATION – bldg. 19	PPC	1,050	01/15/25 - 01/15/26	421,875
12	HIGANTIS CONTRACTOR CORP.-bldg 18	PPC	698	08/01/24 - 07/31/25	280,246
13	RDB TECSON & ASSOCIATES – bldg. 24	PPC	1,476	04/01/25 - 03/31/26	593,036
14	RDBT CONSTTRUCTION CORP. – bldg. 24 open space	PPC	216	04/01/25 - 03/31/26	46,286
15	ROSEMARIE O. TAI	PPC	1,478	06/15/25 - 06/15/26	623,531
16	F.A.C. TRADING – B35-A	PPC	288	08/15/24 - 08/15/25	36,000
17	GO TRANSFERRED CARGO AND LOGISTICS CORP. – YARD 27	PPC	1,000	08/10/24 - 08/09/26	214,286
18	RSG TRUCKING SERVICES-B25 YARD	PPC	750	10/08/24 - 10/07/25	150,670
19	RUEL V. CABISCUELAS – B21 YARD	PPC	1,600	10/01/24 - 09/30/25	342,857
20	AGUILEON CARGO EXPRESS CORP.	PPC	1,200	10/01/24 - 09/30/25	225,000

Companies owning the above properties (Subsidiaries of Plastic City Industrial Corp.):

ICC – Inland Container Corp.

KCC – Kennex Container Corp.

PPC – Pacific Plastic Corp.

Direct cost and operating expenses for the 3rd quarter of 2025 totaled ₱6.6 million as compared to ₱6.7 million for the 3rd quarter of 2024 or an increase of ₱0.1 million or 1.49%. The amount was recorded and mainly attributable to the following:

1. Direct cost for the 3rd quarter of 2025 and 2024 consists of security services, depreciation expense, property taxes and repairs and maintenance. Total direct cost recorded for the 3rd quarter of 2025 amounted to ₱0.80 million and ₱0.80 million for the 3rd quarter of 2024. Only item directly charged to cost for the current quarter is depreciation of investment properties and repairs and maintenance.
2. Operating expenses recorded for the 3rd quarter of 2025 amounted to ₱5.8 million or a decrease by ₱0.1 million or 1.69% as compared to the 3rd quarter of 2024 of ₱5.9 million, which resulted from the following movements: increase in salaries and wages by ₱0.1 million, increase in taxes and licenses by ₱0.03 million, decrease in rent, light and water by ₱0.02 million, decrease in commission by ₱0.08 million, increase in employee benefits by ₱0.1 million and decrease in miscellaneous by ₱0.23 million.

Other Income consists of interest income and miscellaneous income while Other Expenses pertains to penalties and surcharges and interest expense. Total Other Income for the 3rd quarter of 2025 and 2024 are ₱82,923 and ₱83,012, respectively. There were no Other Expenses for the 3rd quarter of 2025 and 2024.

The Group does not recognize a finance cost for 3rd quarter of 2025 and 2024.

Performance Indicators

The Parent Company is in the process of discussing with potential investors for planned forays into new business lines. Its subsidiary, PCIC, ceased its manufacturing operation since 2002 due to the Asian crises and stiff business competition and had leased out its building facilities for revenue. The Group determines their performance on the following five (5) key performance indicators:

1. Revenue Growth – the company gauge its performances by determining Rental Income and the number of tenants for the year. For the 3rd quarter of 2025, the company has an average of ₱249,947 rental income per tenant with 20 areas being leased out or an increased by ₱21,536 rental income per tenant or 9.43% as compared to 3rd quarter of 2024 with an average of ₱228,411 with 31 areas being leased out. Rental income for the current quarter decreased due to nonrenewal of lease contracts of some clients. The company is studying the market for warehousing to assess competition in terms of rental rates and demands.

2. Receivables - the company assesses collection of receivables and management of credit by determining the past due ratio done through the aging of receivables. For the 3rd quarter of 2025, ratio of past due receivables to total outstanding was 99.64%. The current quarter exceeds the management gauge on past due receivables due to significant number of receivables from third parties which are no longer operating. These third parties are previous subsidiary of the Group.
3. Gross Profit Margin - this is derived by dividing the gross profit over the revenues amount. The 3rd quarter of 2025 has a gross profit margin of 84.67%, lower than the 3rd quarter of 2024. Decrease pertains to decrease in sales for the current quarter.
4. Working Capital – to meet the obligations of the company, it is measured by determining current assets over current obligations. Working capital ratio for 3rd quarter of 2025 was 510.52% as compared to 329.29% on the 3rd quarter of 2024. Increase in ratio is attributable to increase in current assets by ₱5 million or 8.68% and decrease in current liabilities by ₱5.2 million or 29.9%.
5. Advances by the Affiliates - For the 3rd quarter of 2025, the company has total advances from affiliates amounting to ₱409.4 million or an increase of ₱11.6 million or 2.92% from last year's ₱397.8 million balance. Total amount added/(deducted) from advances for the 3rd quarter of 2025 amounted to ₱6.6 million or 1.63% of total advances as compared to 3rd quarter of 2024 of (₱23.1) million or (5.81%).

	September 30, 2025	September 30, 2024
Revenue growth ratio	9.43%	01.30%
Past due ratio on receivables	99.64%	99.47%
Gross profit margin	84.67%	89.18%
Current ratio	510.52%	329.28%
Advances ratio	1.63%	(5.81%)

Further discussion of accounts of which registered an increased or decreased by 10% or more follows:

Cash

The Group's cash decreased by ₱3.9 million or 36.79% for the 3rd quarter of 2025 as compared to 3rd quarter 2024 due to the following activities: (a) net cash used in operating activities is ₱12.8 million, (b) net cash generated in investing activities is ₱0.4 million and (c) net cash used in financing activities ₱6.6 million.

Trade and Other Receivables

Trade and other receivables (net) increase by ₱9.6 million or 34.66% in the 3rd quarter of 2025 as compared to last 3rd quarter of 2024. This is mostly attributable to the increase in advances to third parties by ₱10.8 million, decrease in rental receivables by ₱0.3 million, decrease in utilities receivables by ₱0.1 million and decrease in other receivables by ₱0.8 million. Certain trade receivables were found to be impaired using the provisional matrix as determined by the management, hence, adequate amounts of allowance for impairment have been recognized (Note 22).

Advances to related parties

Advances to related parties decrease by ₱11.8 million or 54.38% in the 3rd quarter of 2025 as compared to the 3rd quarter of 2024 due to additional advances from the related parties.

Property and Equipment

There's a decrease in property and equipment amounting to ₱0.01 or 3.26% on the 3rd quarter of 2025 as compared to last year's 3rd quarter of 2024 due to depreciation and adjustment on right-of-use asset account.

Advances from lessees

Advances from lessees decreased by ₱3.1 million or 49.21% in the 3rd quarter of 2025 as compared to the 3rd quarter of 2024 due to application of the balance on the expiring lease contracts that were no longer renewed.

Deferred Asset and Liabilities

The Group reviews its deferred tax assets at the end of each reporting period and reduces the carrying amount to the extent that it is no longer probable that sufficient taxable profit will be available to allow all

or part of the deferred tax asset to be utilized. The recognition of deferred tax assets is based on the assessment that the Group will generate sufficient taxable profit to allow all or part of the deferred tax assets will be utilized. The Group's deferred asset account in the 3rd quarter of 2025 increase by ₱0.07 or 61.75% as compared to the 3rd quarter of 2024 from tax benefit arising from net loss carry-over and provision for expected credit losses.

The Group also has deferred liabilities which was increased by ₱0.03 or 282.97% in the 3rd quarter of 2025 as compared to last year's 3rd quarter of 2024 due to advance payments received from lessees that will be recognized as revenue once realized.

Lease liability

Lease liability composed of current and non-current portion. The current portion increase by ₱89,585 or by 185.39% while the non-current portion increased by ₱46,930 or 100% in the 3rd quarter of 2025 due to renewal of lease contract of the Parent Company.

(i) Summary of Material Trends, Events and Uncertainties

Wellex Industries, Inc.

The Parent Company has properties in Rodriguez (formerly Montalban), Rizal, with an aggregate cost of ₱51,782,495 and ₱51,782,495 and with an area of 402,692 sq. meters and 402,576 sq. meters as at September 30, 2025 and 2024, respectively. Land was received in exchange for its shares of stock in accordance with stock-for-assets swap arrangement entered into with various affiliates.

During the year 2024, the Parent Company recorded back a previously foreclosed property (as third party mortgagor) located in Pasig City with an area of 2,868 sqm. by virtue of an affiliate's case Order issued by the Supreme Court on September 15, 2021 declaring the foreclosure proceedings last November 24, 2009 as Null and Void. A partial compliance to the Writ of Execution issued last October 18, 2024 was implemented by reconstituting TCT No. PT-101859 (under new TCT No. 011-2023000787) and restoring actual possession of the property. The Parent Company closed its advances to Polymax Worldwide Limited (party to the case) amounting to ₱105,060,000, recorded an investment property amounting to its old book value of ₱186,420,000 and a recovery of impairment loss of ₱81,360,000.

Total investment properties located in Rodriguez (formerly Montalban) and Pasig City of the Parent Company as of September 30, 2025 and 2024 amounted to ₱238,202,495 and ₱51,782,495, respectively.

The fair value of land as at September 30, 2025 and 2024 amounted to ₱1,316,866,600 and ₱523,577,600, respectively.

The fair value of the land was determined based on the market comparable approach that reflects recent transaction prices for similar properties. In estimating the fair value of the properties, the highest and best use of the properties is their current use.

As at September 30, 2025 and 2024, the Parent Company's properties are not subject to any liens or encumbrances.

The Company is considering re-entry into the real estate market, specifically the development of industrial estates/subdivisions, for which it has already gained sufficient expertise in its operations in Valenzuela City. The Group elected not to pursue their Agreement with Avida Land Corp. on the Memorandum of Agreement signed last December 17, 2012 by virtue of a Rescission Agreement dated November 29, 2019. The project will now be undertaken in a joint venture with Philippine Estate Corporation (PHES), an affiliate, and will involve the conversion of the industrial estate into a mixed-use hub with complimentary commercial, office and residential zones. The Parent Company is certain that this shift in character will greatly increase the value of the property and will encourage the development and growth of a new Central Business District for Valenzuela City.

The Company had put on hold its plans to acquire a mining company with an existing MPSA with the Mines and Geosciences Bureau (MGB). This is due to the stringent requirements that the Department of Environment and Natural Resources (DENR) had placed on several dormant mining companies and the subsequent business slowdown in the industry as a result thereof.

(ii) Events that will Trigger Direct of Contingent Financial Obligation

There are no events that will trigger direct or contingent financial obligation that is material to Wellex Industries Inc. and its subsidiaries including any default or acceleration of an obligation.

(iii) Material Off-Balance Sheet Transactions, Arrangements, Obligations

There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of Wellex Industries Inc. with unconsolidated entities or other persons created during the reporting period. The present activity of the company is focused on reorganizing its operations in preparation for its new businesses.

(iv) Commitment for Capital Expenditures

Since the Plastic City Industrial Corporation ceased in manufacturing and commercial operation there are no commitments on major capital expenditures.

(v) Any Known Trends, Events of Uncertainties (Material Impact on Net Sales / Net Income and Liquidity)

The Group has ceased manufacturing operations since 2002 and currently disposed to lease out its warehouse facilities. Rental Income recorded for the 3rd quarter of 2025 compared to 2024 decrease by ₱2.1 million or 29.58% due to nonrenewal of lease contracts from some clients.

As of September 30, 2025, there are nineteen (19) lessees occupying twenty (20) areas such as the warehouses, shipyards, open spaces and extensions inside the Plastic City premise.

Current ratio (current assets over current liabilities) as of September 30, 2025 is 510.52% with current assets of ₱62.6 million over ₱12.3 million current liabilities. The Group's policy to address liquidity risk is to maintain a balance between continuity of funding through cash advances from the Parent Company and affiliates. Payment of current liabilities such as government taxes, employees' premium contributions, etc. was funded through these cash advances. The Group does not expect to pay its liabilities to related parties within twelve months after the reporting date. Furthermore, advances from affiliates and stockholders were settled through assignment and offsetting among the Group.

(vi) Significant Element of Income or Loss That Did Not Arise from Continuing Operation

The Group adopted PFRS 16 using the modified retrospective approach, with recognition of transitional adjustments on deficit as at January 1, 2019, without restatement of comparative figures.

The Company has adopted the PFRS 9 Financial Instruments from January 1, 2018 and resulted in changes in accounting policies and adjusted amounts recognized in the financial statements. The comparative figures have been restated to comply with the transitional provisions in PFRS 9.

(vii) Material Changes on Line Items in Financial Statements

Material changes on line items in financial statements are presented under the "Management's Discussion and Analysis of Financial Condition and Results of Operations".

Please refer to the attached Annex A.1 to A.5.

(viii) Effect of Seasonal Changes in the Financial Condition or Results of Operations

The financial condition or results of operations is not affected by any seasonal change.

(ix) Financial Risk Disclosure

The Group is exposed to a variety of financial risk which results from both its operating and financing activities. The Group's risk management is coordinated with the Board of Directors, and focuses on actively securing the short-term cash flows by minimizing the exposure to financial markets. The Group does not actively engage in the trading of financial assets for speculative purposes nor does it write options. Please refer to Annex A.5.

(x) Disclosure under SEC Memorandum Circular No. 3, Series of 2012

PFRS 9, Financial Instruments (2014). PFRS 9, Financial Instruments replaces PAS 39 Financial Instruments – Recognition and Measurement, bringing together all three aspects of the accounting for financial instruments: classification and measurement, impairment, and hedge accounting. The standard requires all recognized financial assets that are within the scope of PAS 39 to be subsequently measured at amortized cost or fair value. Specifically, debt investments that are held

within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flow that are solely for payments of principal and interest on the outstanding balance are generally measured at amortized cost at the end of subsequent reporting periods. All other debts investments and equity investments are measured at their fair values at the end of subsequent reporting periods. For financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that are attributable to changes in the credit risk of that liability is presented in other comprehensive income would create or increase as accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. The Company has adopted the PFRS 9 Financial Instruments from January 1, 2018 and resulted in changes in accounting policies and adjusted amounts recognized in the financial statements. The comparative figures have been restated to comply with the transitional provisions in PFRS 9.

PART II – OTHER INFORMATION

(1) Market Information

The principal market of Wellex Industries Inc. common equity is the Philippine Stock Exchange, Inc. (PSE) where it was listed in 1958. List of the high and low sales price by quarter for the last 3 years are as follows:

		High	Low
2025	First Quarter	0.270	0.270
	Second Quarter	0.250	0.250
	Third Quarter	0.275	0.275
2024	First Quarter	0.240	0.240
	Second Quarter	0.260	0.260
	Third Quarter	0.211	0.211
	Fourth Quarter	0.212	0.212
2023	First Quarter	0.260	0.230
	Second Quarter	0.222	0.222
	Third Quarter	0.275	0.270
	Fourth Quarter	0.230	0.230
2022	First Quarter	0.310	0.215
	Second Quarter	0.300	0.260
	Third Quarter	0.295	0.220
	Fourth Quarter	0.270	0.230

The high, low and close price information as of October 27, 2025, the last practicable trading date, was ₱0.27, ₱0.27 and ₱0.27 per share, respectively.

(2) Holders

The numbers of shareholders of record as of September 30, 2025 were 1,000. Common shares issued and subscribed as of September 30, 2025 were 3,276,035,637.

**List of Top 20 Stockholders
As of September 30, 2025**

	STOCKHOLDER'S NAME	NATIONALITY	SUBSCRIBED	% TOTAL
1	PCD NOMINEE CORP.	FILIPINO	941,494,419	28.775
2	WILLIAM T. GATCHALIAN	FILIPINO	835,000,100	25.520
3	DEE HUA T. GATCHALIAN	FILIPINO	492,962,532	15.066
4	SHERWIN T. GATCHALIAN	FILIPINO	317,750,100	9.711
5	SHINJI KOBAYASHI	FILIPINO	210,650,000	6.438
6	ELVIRA A. TING	FILIPINO	111,850,000	3.418
7	KENNETH T. GATCHALIAN	FILIPINO	100,000,100	3.056
8	THE WELLEX GROUP, INC.	FILIPINO	80,000,000	2.445
9	RECOVERY DEVELOPMENT CORPORATION	FILIPINO	52,335,090	1.600
10	PACIFIC REHOUSE CORPORATION	FILIPINO	50,000,000	1.528
11	ORIENT PACIFIC CORPORATION	FILIPINO	36,340,000	1.111
12	LI CHIH-HUI	FILIPINO	13,500,000	0.413
13	PCD NOMINEE CORPORATION (NON-FILIPINO)	OTHERS	10,150,026	0.310
14	WELLEX GLOBAL EQUITIES, INC.	FILIPINO	4,050,000	0.124
15	INTERNATIONAL POLYMER CORP.	FILIPINO	2,700,000	0.083
16	SOLAR SECURITIES, INC	FILIPINO	2,500,000	0.076
17	JOAQUIN EUGENIO MATTHEW S. CHIPECO III	FILIPINO	1,660,000	0.051
18	RODOLFO S. ETRELLADO	FILIPINO	750,000	0.023
19	PROBITY SEC. MGT. CORP.	FILIPINO	463,200	0.014
20	RICHARD L. RICARDO	FILIPINO	460,000	0.014

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer **WELLEX INDUSTRIES, INC.**

Signature

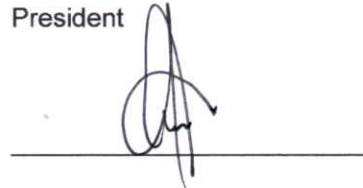


Richard L. Ricardo

Title

President

Signature



Annabelle T. Abunda

Title

Finance and Compliance Officer

Date

OCT 28 2025

WELLEX INDUSTRIES INCORPORATED AND SUBSIDIARIES
Consolidated Statements of Financial Position

ANNEX A.1

		Unaudited 30-Sept-25	Unaudited 30-Sept-24	Audited 31-Dec-24
ASSETS				
Current Assets				
Cash	4	₱6,773,492	₱10,635,413	₱12,660,454
Trade and other receivables (net)	5	37,257,785	27,654,292	30,503,323
Prepayments and other current assets	6	18,544,661	19,287,614	17,185,810
		62,575,938	57,577,319	60,349,587
Noncurrent Assets				
Financial Assets at FVOCI	7	11,993,750	12,500,000	11,993,750
Advances to related parties (net)	18	33,519,669	21,714,882	34,336,512
Investment properties (net)	8	1,188,340,062	1,004,280,781	1,190,192,822
Interest in joint operation (net)	9	522,916,369	522,916,369	522,916,369
Property and equipment (net)	10	308,121	298,381	401,650
Deferred Asset		46,210	12,081	46,210
Other assets		95,844	95,844	95,844
		1,757,220,025	1,561,818,338	1,759,983,157
TOTAL ASSETS		₱1,819,795,963	₱1,619,395,657	₱1,820,332,744
LIABILITIES AND EQUITY				
Current Liabilities				
Accounts payable and other liabilities	11	8,967,211	11,139,642	8,437,855
Advances from lessees	19	3,152,071	6,297,760	5,658,449
Lease Liability	18	137,908	48,323	137,908
		12,257,190	17,485,725	14,234,212
Noncurrent Liabilities				
Advances from related parties	18	409,444,666	397,786,722	402,888,139
Retirement benefits obligation	17	917,400	875,700	917,400
Lease Liability - noncurrent	18	46,930	–	46,930
Deferred Tax Liability		45,489	11,878	45,489
		410,454,485	398,674,300	403,897,958
		422,711,675	416,160,025	418,132,170
Equity				
Capital stock	13	3,276,045,637	3,276,045,637	3,276,045,637
Additional paid-in capital	13	24,492,801	24,492,801	24,492,801
Unrealized fair value loss on financial assets at FVOCI		(506,250)	–	(506,250)
Deficit		(1,902,937,900)	(2,097,292,806)	(1,897,821,614)
		1,397,094,288	1,203,245,632	1,402,210,574
Treasury stock	13	(10,000)	(10,000)	(10,000)
		1,397,084,288	1,203,235,632	1,402,200,574
TOTAL LIABILITIES AND EQUITY		₱1,819,795,963	₱1,619,395,657	₱1,820,332,744

(The accompanying notes are an integral part of these consolidated financial statements.)

WELLEX INDUSTRIES INCORPORATED AND SUBSIDIARIES
Consolidated Statements of Comprehensive Income

ANNEX A.2

		Unaudited Jul - Sept 2025	Unaudited Jul - Sept 2024	Unaudited Jan - Sept 2025	Unaudited Jan - Sept 2024
RENTAL INCOME		₱4,998,937	₱7,080,741	₱19,438,227	₱24,471,671
DIRECT COSTS AND EXPENSES	14	766,397	766,397	2,372,745	2,299,191
GROSS PROFIT		4,232,540	6,314,344	17,065,482	22,172,480
OPERATING EXPENSES	15	5,803,157	5,919,887	22,430,962	22,339,010
LOSS FROM OPERATIONS		(1,570,617)	394,457	(5,365,480)	(166,530)
OTHER INCOME	16	82,923	83,012	249,194	248,307
OTHER EXPENSE	16	–	–	–	(600,776)
LOSS BEFORE TAX		(1,487,694)	477,469	(5,116,286)	(518,999)
INCOME TAX (EXPENSE) BENEFITS		–	–	–	–
NET LOSS FOR THE PERIOD		(1,487,694)	477,469	(5,116,286)	(518,999)
LOSS PER SHARE		(₱0.0004)	₱0.0001	(₱0.0016)	(₱0.0002)

(The accompanying notes are an integral part of these consolidated financial statements.)

WELLEX INDUSTRIES INCORPORATED AND SUBSIDIARIES
Consolidated Statements of Changes in Equity

ANNEX A.3

	Unaudited 30-Sept-25	Unaudited 30-Sept-24	Audited 31-Dec-24
CAPITAL STOCK	₱3,276,045,637	₱3,276,045,637	₱3,276,045,637
ADDITIONAL PAID-IN CAPITAL	24,492,801	24,492,801	24,492,801
UNREALIZED FAIR VALUE LOSS ON FINANCIAL ASSETS AT FVOCI	(506,250)	—	(506,250)
DEFICIT			
Balance at beginning of the period	(1,897,821,614)	(2,096,773,807)	(2,096,773,807)
Net loss for the period	(5,116,286)	(518,999)	198,952,193
Balance at end of the period	(1,902,937,900)	(2,097,292,806)	(1,897,821,614)
TREASURY STOCK	(10,000)	(10,000)	(10,000)
TOTAL EQUITY	₱1,397,084,288	₱1,203,235,632	₱1,402,200,574

(The accompanying notes are an integral part of these consolidated financial statements.)

WELLEX INDUSTRIES INCORPORATED AND SUBSIDIARIES
Consolidated Statements of Cash Flows

ANNEX A.4

	Unaudited Sept 30, 2025	Unaudited Sept 30, 2024	Audited December 31, 2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Income/(Loss) before tax	(P5,116,286)	(P518,999)	P201,543,945
Adjustments for:			
Depreciation	2,392,718	2,462,455	3,140,078
Provision for (reversal of) ECL on:			
Trade and Receivables	—	—	66,310
Advances to related parties	—	—	(119,772,360)
Reversal of allowance for impairment on investment property			(81,360,000)
Provision for retirement benefits	—	—	41,700
Finance costs	—	—	774,049
Interest income	(8,122)	(7,236)	(942,469)
Operating income (loss) before working capital changes	(2,731,690)	1,936,220	3,491,253
Decrease (increase) in:			
Trade and other receivables	(6,754,462)	2,491,068	(424,273)
Prepayments and other assets	(1,358,851)	(1,657,364)	444,440
Increase (decrease) in:			
Accounts payable and other liabilities	529,356	(2,251,753)	(4,4953,540)
Advances from lessees	(2,506,378)	970,746	331,435
Net cash generated from (used in) operations	(12,822,025)	1,488,917	(1,110,685)
Interest received	8,122	7,236	10,904
Income tax paid	—	—	(2,592,270)
Net cash provided by (used in) operating activities	(12,813,903)	1,496,156	(3,692,051)
CASH FLOWS FROM INVESTING ACTIVITIES			
Collection (grant) of advances to related parties	816,843	2,582,837	5,605,132
Additions to investment properties	(446,429)		
Net cash provided by (used in) investing activities	370,414	2,582,837	5,605,132
CASH FLOWS FROM FINANCING ACTIVITIES			
Addition (Payment) of advances from related parties	6,556,527	(2,420,995)	1,919,955
Payment of lease liability	—	—	(150,000)
Proceeds (Payment) from borrowings	—	—	—
Finance cost paid	—	—	—
Net cash provided by (used in) financing activities	6,556,527	(2,420,995)	1,769,955
NET INCREASE (DECREASE) IN CASH	(5,886,962)	1,657,995	3,683,036
CASH			
At beginning of year	12,660,454	8,977,418	8,977,418
At end of year	P6,773,492	P10,635,413	P12,660,454

(The accompanying notes are an integral part of these consolidated financial statements.)

1. CORPORATE INFORMATION, STATUS OF OPERATIONS AND MANAGEMENT PLANS

Corporate Information

Wellex Industries Incorporated (the 'Parent Company') was incorporated in the Philippines on October 19, 1956. The Parent Company engaged primarily in the business of mining and oil exploration and was known as Republic Resources and Development Corporation (REDECO). The Parent Company extended its corporate life for another 50 years up to October 19, 2056 which was approved by the Securities and Exchange Commission (SEC) on July 20, 2007.

The Parent Company's shares are listed and traded in the Philippine Stock Exchange (PSE).

The Parent Company wholly owns Plastic City Industrial Corporation (PCIC). PCIC ceased its manufacturing operations but PCIC subsidiaries have leased out their warehouse and building facilities.

The financial position and results of operations of the Parent Company and its Subsidiaries, (herein referred to as the 'Group') are consolidated in these financial statements.

The registered office address of the Parent Company is located at 35th Floor, One Corporate Center, Doña Julia Vargas Ave., cor. Meralco Ave., Ortigas Center, Pasig City, Philippines.

Status of Operations and Management Plans

For the quarter ended September 30, 2025 and 2024, the Group has incurred losses resulting in a deficit of ₱1,902,937,900 and ₱2,097,292,806, respectively. These conditions indicate that a material uncertainty exists that may cast significant doubt on the Group's ability to continue as a going concern and, therefore, the Group may be unable to realize its assets and discharge its liabilities in the normal course of business. Albeit these conditions, management believes that the Group will be able to meet all its outstanding obligations and continue to operate as a going concern.

To continue as a going concern, the officers and major stockholders of the Group have committed to provide full financial support to the Group to sustain its operations, meet the working capital requirements and settle obligations as they fall due.

In prior years, the Parent Company's planned business of mining and oil exploration became secondary to real estate and energy development. On January 28, 2008, the BOD approved the amendment of the Parent Company's primary purpose from a holding company to a company engaged in the business of mining and oil exploration.

The purpose of the amendment of the primary purpose was to enable the Parent Company to ride the crest of a resurgent mining industry and including oil exploration of the country's offshore oil fields. The Parent Company's strategy is to identify mining properties with proven mineral deposits particularly nickel, chromite, gold and copper covered by Mineral Production Sharing Agreements (MPSAs) and to negotiate for either a buy-out or enter into a viable joint venture arrangement. For its oil and mineral exploration activities, the Parent Company has identified and conducted initial discussions with potential investors.

However, the continuing global financial crises dampened the metal and oil prices that adversely affected the investment environment of mining and oil, and mineral exploration industry of the country. To finance its operating expenses, the Parent Company obtains advances from related parties.

The Group has put on hold its plan to acquire a mining company with an existing Mineral Product Service Agreement (MPSA) with the Mines and Geosciences Bureau (MGB). This is due to the stringent requirements that the Department of Environment and Natural Resources (DENR) had placed on several dominant mining companies and the subsequent business slowdown in the industry as a result thereof.

Redevelopment of the Plastic City Complex in Valenzuela

On December 17, 2012, the Group and other related parties entered into a Memorandum of Agreement (MOA) with Avida Land Corp (ALC) for the development of 21.3 hectares of land located in Valenzuela City into a residential clusters of condominium, townhouses, house and lots. Out of the total 21.3 hectares, 12.8 hectares (representing 60% of the aggregate area) was owned by the Group and its affiliates and around 8.47 hectares were owned by related parties.

By virtue of a Rescission Agreement dated November 29, 2019, the Group elected not to pursue their Agreement with ALC for the development of the real estate. The project will now be undertaken in a joint venture with Philippine Estate Corporation (PHES), an affiliate, and will involve the conversion of the industrial state into a mixed-use hub with complimentary commercial, office and residential zones. The Group believes that it will increase the value of the property and will encourage the development and growth of a new Central Business District of Valenzuela City.

Business and Operations

Based on current operation, the Group's cash requirements can be generated internally from rental income from the remaining lease contracts of its subsidiaries. The management believes that resources are sufficient for projected leasing plans for the next twelve months. However, should there be an opportunity for an interested business acquisition as related above, there might be a need to raise funds via a stock rights offering with the local course. In any case, the Group has substantial amount of advances to related parties which are realizable upon demand.

The Group will explore new business opportunities in the development of industrial estates, and to this end, ocular inspections for suitable raw land for development into industrial estates are being carried out in Cavite, Laguna, Batangas and Bulacan. Discussions have been carried out with local government city planning officials in order to determine which sites are candidates for long-term success and the Group is in constant communication with urban planners and construction engineers in order to fully understand the financial feasibility models for the development of these industrial estates.

In addition, due to high demand in parking spaces and warehouses nowadays, management is eyeing to convert its unused land in Valenzuela into open parking spaces and renovate its vacant buildings into new warehouses for rent.

Project manpower will be outsourced when the operations commence and as the need arises. Technical and managerial positions will be filled when future operations commence in either the mining sector or industrial estate development. A capital-infusion and build-up program will address the Group's financial standing, the size and timing of which will be directly related to the planned entry into new business endeavors.

Despite the stabilization of global travel and renewed business interest in the Philippines, new territorial issues with claim have risen at the West Philippine Sea. This, together with economic turbulence brought about by the war in Ukraine and Palestinian conflict, has made management cautious about entering into new business ventures.

Consequently, the Group's consolidated financial statements have been prepared assuming that the Parent Company will continue as a going concern. The Group's consolidated financial statements do not include any adjustments relating to the recoverability and classification of the recorded assets or the recognition and classification of liabilities that might result from the outcome of this uncertainty.

2. MATERIAL ACCOUNTING POLICY INFORMATION

The material accounting policies that have been used in the preparation of these consolidated financial statements are summarized below and in the succeeding pages. The policies have been consistently applied to all the years presented, unless otherwise stated.

Statement of Compliance

The consolidated financial statements of the Group have been prepared in accordance with Philippine Financial Reporting Standards (PFRS). The term PFRS in general includes all applicable PFRS, Philippine Accounting Standards (PAS) and Interpretations issued by the former Standing Interpretations Committee (SIC), the Philippine Interpretations Committee (PIC) and the International Financial

Reporting Interpretations Committee (IFRIC), which have been approved by the Financial Reporting Standards Council (FRSC) and adopted by the SEC.

Basis of Preparation

The consolidated financial statements have been prepared on a historical cost basis. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique.

Functional and Presentation Currency

The consolidated financial statements are presented in Philippine peso (₱), the Group's functional currency. All amounts are rounded to the nearest peso except when otherwise indicated.

Current and Non-Current Classification

The Group presents assets and liabilities in the consolidated statement of financial position based on current/non-current classification. An asset is current when it is:

- expected to be realized or intended to be sold or consumed in normal operating cycle;
- held primarily for the purpose of trading;
- expected to be realized within twelve months after the reporting period; or
- cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- it is expected to be settled in normal operating cycle;
- it is held primarily for the purpose of trading;
- it is due to be settled within twelve months after the reporting period; or
- there is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

All other liabilities are classified as non-current.

Deferred tax assets and tax liability are classified as non-current assets and non-liabilities, respectively.

Basis of Consolidation

The consolidated financial statements incorporate the financial statements of the Parent Company and subsidiaries it controls. Control is achieved when the Parent Company has power over the investee, is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to use its power to affect its returns. The Parent Company reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of these three elements of control.

When the Parent Company has less than a majority of the voting rights of an investee, it considers that it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Parent Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- the contractual arrangement with the other vote holders of the investee;
- rights arising from other contractual arrangements; and
- the Group's voting rights and potential voting rights.

Consolidation of subsidiaries begins when the Parent Company obtains control over the subsidiaries and ceases when the Parent Company loses control of the subsidiaries. Income and expenses of subsidiaries acquired or disposed of during the year are included in the consolidated statements of comprehensive income from the date the Parent Company gains control until the date when the Parent Company ceases to control the subsidiaries.

The financial statements of the subsidiaries are prepared for the same reporting year, using accounting policies that are consistent with those of the Parent Company. Intra-group balances, transactions, income and expenses, and profits and losses resulting from intra-group transactions are eliminated in full in the consolidation.

Changes in the ownership interests in subsidiaries that do not result in the loss of control are accounted for as equity transactions.

If the Parent Company loses control over its subsidiaries, it derecognizes the related assets (including goodwill), liabilities, non-controlling interest and other components of equity while any resulting gain or loss is recognized in consolidated statements of comprehensive income.

Composition of the Group

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at September 30, 2025 and 2024. The details of its subsidiaries are as follows:

Subsidiaries	Principal Activity	Ownership	
		2025	2024
Direct Ownership			
PCIC	Manufacturing	100%	100%
Indirect Ownership (Subsidiaries of PCIC)			
ICC	Manufacturing	100%	100%
KCC	Manufacturing	100%	100%
PPC	Manufacturing	100%	100%
Rexlon Industrial Corporation (RIC)	Manufacturing	100%	100%

a) Direct ownership

PCIC

PCIC and its subsidiaries have ceased operations but have leased out their warehouse facilities. The intention of the Group is to continue its operation by focusing on “injection molding” due to its very encouraging prospect and which has shown to have a high viability rating that will contribute highly towards the Group’s maximum operation and financial position. Management is continuously in search for reliable joint venture partners who have the means to continue its operations.

b) Indirect ownership

ICC

ICC was incorporated in the Philippines and registered with the SEC on June 23, 1981, primarily to engage in the manufacture of plastic containers. The Company ceased its commercial operations on July 30, 2000, and has leased out its buildings as warehouses.

KCC

KCC was incorporated in the Philippines and registered with the SEC on February 14, 1983. The Company was established to manufacture all kinds of plastic containers. The Company ceased its commercial operations on April 30, 2002, and has leased out its buildings as warehouses.

PPC

PPC was incorporated in the Philippines and registered with the SEC on October 1, 1982. The Company was established primarily to manufacture plastic raw materials, rigid and non-rigid plastic products, plastic compounds, derivatives and other related chemical substances. The Company ceased its commercial operations on May 16, 2002, and has leased out its buildings as warehouses.

RIC

RIC was incorporated in the Philippines and registered with the SEC on October 9, 1984. The Company was engaged in the business of manufacturing and molding plastic products. The Company ceased its commercial operations on April 30, 2002.

Changes in Accounting Policies and Disclosures

The Group adopted for the first time the following amendments to PFRS, which are mandatorily effective for annual periods beginning on or after January 1, 2024.

Classification of Liabilities as Current or Noncurrent (Amendments to PAS 1). The narrow-scope amendments to PAS 1, Presentation of Financial Statements clarify that liabilities are classified as either current or noncurrent, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the expectations of the entity or events after the reporting date (eg the receipt of a waiver or a breach of covenant). The amendments also clarify what PAS 1 means when it refers to the 'settlement' of a liability. The amendments could affect the classification of liabilities, particularly for entities that previously considered management's intentions to determine classification and for some liabilities that can be converted into equity. The amendments are effective for annual periods beginning on or after January 1, 2024, with earlier application permitted.

The amendments affect only the presentation of liabilities as current or non-current in the statements of financial position and not the amount or timing of recognition of any asset, liability, income or expenses, or the information disclosed about those items.

Noncurrent Liabilities with Covenants (Amendments to PAS 1). The amendment clarifies how conditions with which an entity must comply within twelve months after the reporting period affect the classification of liability. Only covenants with which an entity is required to comply on or before the reporting date affect the classification of a liability as either current or non-current. In addition, an entity has to disclose information in the notes that enables users of financial statements to understand the risk that non-current liabilities with covenants could become repayable within twelve months. The amendments are effective for annual periods beginning on or after January 1, 2024. The management assessed that the amendments have no significant impact to the Group.

Lease Liability in a Sale and Leaseback (Amendments to PFRS 16). The amendment clarifies the how a seller-lessee subsequently measures sale and leaseback transactions that satisfy the requirements in PFRS 15 to be accounted for as a sale. The amendments to PFRS 16 specifies that, in subsequently measuring the lease liability, the seller-lessee determines 'lease payments' and 'revised lease payments' in a way that does not result in the seller-lessee recognizing any amount of the gain or loss that relates to the right of use it retains. The amendments do not affect the gain or loss recognized by the seller-lessee relating to the partial or full termination of a lease. Without these new requirements, a seller-lessee may have recognized a gain on the right of use it retains solely because of a remeasurement of the lease liability (for example, the following lease modification or change in the lease term) applying the general requirements in PFRS16. This could have been particularly the case in a leaseback that includes variable lease payments that do not depend on an index or rate. The amendments are effective for annual periods beginning on or after January 1, 2024. The management assessed that the amendments have no significant impact to the Group.

Cash Flow Statements and PFRS 7 (Amendments), Financial Instruments: Disclosures – Supplier Finance Agreements. The amendment does not define supplier finance arrangements. Instead, the amendment describes the characteristics of an arrangement for which an entity is required to provide information. The amendments note that arrangements that are solely credit enhancements for the entity or instruments used by the entity to settle directly with a supplier the amounts owed are not supplier finance arrangements. The entities will have to disclose in the notes information that enable users of the financial statements to assess how supplier finance arrangements affect an entities' liabilities and cash flows and understand its effects on exposure to liquidity risk and how the entity may be affected if the arrangements were no longer available.

The amendments are effective for annual periods beginning on or after January 1, 2024, with earlier application permitted.

The amendments contain specific transition provisions for the first annual reporting period in which the group applies the amendments. Under the transitional provisions an entity is not required to disclose:

- comparative information for any reporting periods presented before the beginning of the annual reporting period in which the entity first applies those amendments.
- the information otherwise required by PAS as at the beginning of the annual reporting period in which the entity first applies those amendments.

The management assessed that the amendments have no significant impact to the Group.

New Accounting Standards, Interpretations and Amendments to Existing Standards Effective Subsequent to January 1, 2024

The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability. The amendment specifies that a currency is exchangeable when an entity can exchange that currency for the other currency through markets or exchange mechanisms that create enforceable rights and obligations without undue delay at measurement date and for a specified purpose while a currency is not exchangeable into other currency if an entity can only obtain an insignificant amount of the other currency. When a currency is not exchangeable, an entity estimates the spot exchange rate as the rate that would have applied to an orderly transaction between market participants at the measurement date and that would faithfully reflect the economic conditions. The amendment requires the disclosure of additional information when a currency is not exchangeable.

The amendment is effective for annual periods beginning on or after January 1, 2025, with earlier application permitted. The Management assessed that the application of these amendments will not have an impact on the Group's consolidated financial statements in the future periods.

PFRS 18, Presentation and Disclosure in Financial Statements. This standard supersedes PAS 1, Presentation of Financial Statements, and sets out requirements for the presentation and disclosure of information in general purpose financial statements (financial statements) to help ensure they provide relevant information that faithfully represents an entity's assets, liabilities, equity, income and expenses. The standard requires an entity to clearly identify the financial statements, which must be distinguished from other information in the same published document, as well as each primary financial statement and the notes to the financial statements. In addition, the following information must be displayed prominently, and repeated as necessary:

- the name of the reporting entity and any change in the name
- whether the financial statements are a group of entities or an individual entity
- information about the reporting period
- the presentation currency (as defined by PAS 21, The Effects of Changes in Foreign Exchange Rates)
- the level of rounding used (e.g., thousands, millions).

Retrospective application of the standard is mandatory for annual reporting periods starting from January 1, 2027 onwards but earlier application is permitted provided that this fact is disclosed. The Management assessed that the application of these amendments will have an impact on the Group's consolidated financial statements in future periods.

PFRS 18 supersedes PAS 1, carrying forward many of the requirements in PAS 1 unchanged and complementing them with new requirements with movements on certain paragraphs into PAS 8 and PFRS 7. Furthermore, there were also minor amendments to PAS 7 and PAS 33 earnings per share. The new standard introduces new requirements to:

- present specified categories and defined subtotals in the statement of profit or loss
- provide disclosures on management-defined performance measures (MPMs) in the notes to the financial statements
- improve aggregation and disaggregation.

The amendment is effective for annual periods beginning on or after January 1, 2027, with earlier application permitted. The amendments to PAS 7 and PAS 33, as well as the revised IAS 8 and IFRS 7, become effective when an entity applies PFRS 18.

The Group anticipate that the application of these amendments may have an impact on the Group's consolidated financial statements in future periods.

PFRS 19, Subsidiaries without Public Accountability: Disclosures. The standard specifies the disclosure requirements an eligible subsidiary is permitted to apply instead of the disclosure requirements in other PFRS. A subsidiary is eligible for the reduced disclosures if it does not have public accountability and its ultimate or any intermediate.

A subsidiary has public accountability if its debt or equity instruments are traded in a public market or it is in the process of issuing such instruments for trading in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local and regional markets), or it holds assets in a

fiduciary capacity for a broad group of outsiders as one of its primary businesses (for example, banks, credit unions, insurance entities, securities brokers/dealers, mutual funds and investment banks often meet this second criterion).

An entity electing to apply PFRS 19 applies the requirements in other PFRS, except for the disclosure requirements. Instead of the disclosure requirements, the entity applies the requirements in PFRS 19. Therefore, an entity applying PFRS 19 is not required to apply the disclosure requirements in other PFRS nor apply any statements about, or references to, those disclosure requirements except for certain exceptions. An entity is required to consider whether to provide additional disclosures when compliance with the specific requirements in PFRS 19 is insufficient to enable users of financial statements to understand the effect of transactions and other events and conditions on the entity's financial position and financial performance.

The new standard is effective for annual periods beginning on or after January 1, 2027, with earlier application permitted provided that this fact is disclosed.

The management assessed that the amendments are not applicable to the Group.

Amendments to the Classification and Measurement of Financial Instruments (Amendments to PFRS 9 and PFRS 7). The amendments address matters identified during the post-implementation review of the classification and measurement requirements of PFRS 9, Financial Instruments. The amendments include:

- a) derecognition of financial liability settled through electronic transfer - The amendments to the application guidance of PFRS 9 permit an entity to deem a financial liability (or part of it) that will be settled in cash using an electronic payment system to be discharged before the settlement date if specified criteria are met. An entity that elects to apply the derecognition option would be required to apply it to all settlements made through the same electronic payment system.
- b) classification of financial assets - The amendments provide guidance on how an entity can assess whether contractual cash flows of a financial asset are consistent with a basic lending arrangement, enhance description of the term 'non-recourse' and clarify the characteristics of contractually linked instruments that distinguish them from other transactions.
- c) disclosures - The requirements in PFRS 7 are amended for disclosures that an entity provides in respect of investments in equity instruments designated at fair value through other comprehensive income. The amendments also require the disclosure of contractual terms that could change the timing or amount of contractual cash flows on the occurrence (or nonoccurrence) of a contingent event that does not relate directly to changes in a basic lending risks and costs.

The amendments also include amendments to *PFRS 19, Subsidiaries without Public Accountability: Disclosures*, which limit the disclosure requirements for qualifying subsidiaries.

The amendments are effective for reporting periods beginning on or after January 1, 2026, with earlier application permitted provided that this fact is disclosed.

Annual Improvements to PFRS — Volume 11. The pronouncement comprises the following amendments:

- PFRS 1: Hedge accounting by a first-time adopter - The amendment addresses a potential confusion arising from an inconsistency in wording between paragraph B6 of PFRS 1 and requirements for hedge accounting in PFRS 9 Financial Instruments.
- PFRS 7: Gain or loss on derecognition - The amendment addresses a potential confusion in paragraph B38 of PFRS 7 arising from an obsolete reference to a paragraph that was deleted from the standard when PFRS 13 Fair Value Measurement was issued.
- PFRS 7: Disclosure of deferred difference between fair value and transaction price – The amendment addresses an inconsistency between paragraph 28 of PFRS 7 and its accompanying implementation guidance that arose when a consequential amendment resulting from the issuance of PFRS 13 was made to paragraph 28, but not to the corresponding paragraph in the implementation guidance.
- PFRS 7: Introduction and credit risk disclosures - The amendment addresses a potential confusion by clarifying in paragraph IG1 that the guidance does not necessarily illustrate all the requirements in the referenced paragraphs of PFRS 7 and by simplifying some explanations.
- PFRS 9: Lessee derecognition of lease liabilities - The amendment addresses a potential lack of clarity in the application of the requirements in PFRS 9 to account for an extinguishment of a

lessee's lease liability that arises because paragraph 2.1(b)(ii) of PFRS 9 includes a cross-reference to paragraph 3.3.1, but not also to paragraph 3.3.3 of PFRS 9.

- PFRS 9: Transaction price - The amendment addresses a potential confusion arising from a reference in Appendix A to PFRS 9 to the definition of 'transaction price' in PFRS 15 Revenue from Contracts with Customers while term 'transaction price' is used in particular paragraphs of PFRS 9 with a meaning that is not necessarily consistent with the definition of that term in PFRS 15.
- PFRS 10: Determination of a 'de facto agent' - The amendment addresses a potential confusion arising from an inconsistency between paragraphs B73 and B74 of PFRS 10 related to an investor determining whether another party is acting on its behalf by aligning the language in both paragraphs.
- PAS 7: Cost method - The amendment addresses a potential confusion in applying paragraph 37 of IAS 7 that arises from the use of the term 'cost method' that is no longer defined in IFRS Accounting Standards.

The amendments are effective for reporting periods beginning on or after January 1, 2026, with earlier application permitted provided that this fact is disclosed.

The Group has not early adopted the previously mentioned new, amended and improved accounting standards and interpretations. The Group continues to assess the impact of the above new, amended and improved accounting standards and interpretations that are effective subsequent to January 1, 2024 on its consolidated financial statements in the period of initial application. Additional disclosures required by these amendments will be included in the consolidated financial statements when these amendments are adopted.

Determination of Fair Value and Fair Value Hierarchy

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by reassessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group determines the policies and procedures for both recurring fair value measurement and for non-recurring measurement.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Fair value measurement disclosures of financial and non-financial assets are presented in Note 24 to the consolidated financial statements.

“Day 1” Difference

When the transaction price in a non-active market is different from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a “Day 1” difference) in the consolidated statements of comprehensive income unless it qualifies for recognition as some other type of asset or liability. In cases where use is made of data which is not observable, the difference between the transaction price and model value is only recognized in the consolidated statements of comprehensive income when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the “Day 1” difference amount.

Financial Instruments

Initial Recognition, Measurement and Classification

The Group recognizes financial assets and financial liabilities in the consolidated statements of financial position when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the market place are recognized on the settlement date.

With the exception of trade receivables that do not contain a significant financing component, financial assets and financial liabilities are recognized initially at fair value including transaction costs, except for those financial assets and liabilities at FVPL where the transaction costs are charged to expense in the period incurred. Trade receivables that do not contain a significant financing component are recognized initially at their transaction price.

The Group classifies its financial assets as subsequently measured at amortized cost, fair value through other comprehensive income (FVOCI) and FVPL.

The classification of financial assets depends on the financial asset’s contractual cash flow characteristics and the Group’s business model for managing the financial assets. The Group’s business model is determined at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. The Group’s business model determines whether cash flows will result from collecting contractual cash flows, selling financial assets or both.

The Group classifies its financial liabilities as subsequently measured at amortized cost using the effective interest method or at FVPL.

The Group does not have any financial instruments that are measured and classified at FVPL.

Financial Assets at Amortized Cost

Financial assets are measured at amortized when both of the following conditions are met:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial measurement, financial assets at amortized cost are subsequently measured using the effective interest method less allowance for impairment. Gains and losses are recognized in the statements of comprehensive income when the financial assets at amortized cost are derecognized, modified or impaired. These financial assets are included in current assets if maturity is within twelve (12) months from the end of reporting period. Otherwise, these are classified as noncurrent assets.

As at September 30, 2025 and 2024, included under financial assets at amortized cost are the Group's cash, trade and other receivables, and advances to related parties (see Notes 4, 5 and 20).

Cash

The Group's cash includes cash on hand and in banks. Cash in banks earn interest at respective bank deposit rates.

Trade and other receivables

Receivables consist of trade receivable, advances to third parties, rental receivable and utilities receivable.

Advances to related parties

Represent non-interest bearing cash advances to related parties for working capital requirements.

Equity Instruments Designated at FVOCI

Upon initial recognition, the Group may make an irrevocable election to present in other comprehensive income changes in the fair value of an equity investment that is not held for trading. The classification is determined on an instrument-by-instrument basis.

When the equity instrument is derecognized, the cumulative gain or loss previously recognized in other comprehensive income is not subsequently reclassified to profit or loss, but is transferred to retained earnings. Dividends on such investments are recognized in profit or loss when the right of payment has been established, except when the dividends represent a recovery of part of the cost of the investment, in which case, such gains are recorded in other comprehensive income. Equity instruments designated at FVOCI are not subject to impairment assessment. These financial assets are classified as noncurrent assets.

As at September 30, 2025 and 2024, the Group elected to classify irrevocably its unquoted equity investments under this category (see Note 7).

Financial Liabilities at Amortized Cost

Financial liabilities that are not contingent consideration of an acquirer in a business combination, held for trading, or designated as at FVPL, are measured subsequently at amortized cost using the effective interest method.

The effective interest method is a method of calculating the amortized cost of a financial liability and allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the amortized cost of a financial liability.

As at September 30, 2025 and 2024, included in financial liabilities at amortized cost are the Group's accounts payable and other liabilities, borrowings, advances from related parties, lease liability and advances from lessees (see Notes 11, 12, 20 and 22).

Accounts payable and other liabilities

Accounts payable are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Other current liabilities include non-trade payables and accrued expenses.

Advances from related parties

Represents cash advances to related parties for working capital requirements.

Advances from lessees

Represent payment of advance rental which shall be refunded without interest on the expiration of the lease or pre-termination of the lease period.

Borrowings

Borrowings are recognized initially at the transaction price which is composed of the present value of cash payable to the bank, including transaction costs. Borrowings are subsequently stated at amortized cost.

All borrowing costs are recognized as an expense in profit or loss in the period incurred. Borrowing costs are recognized on the basis of the effective interest method and are included under 'Finance costs' in the consolidated statements of comprehensive income.

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Lease liability

Lease liability represents the Group's obligation to make lease payments for all leases with a term of more than twelve (12) months, unless the underlying asset is of low value is effectively treated as a financial liability which is measured at amortized cost, using its incremental borrowing rate as the discount rate.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statements of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

Derecognition of Financial Instruments

Financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the rights to receive cash flows from the asset have expired;
- the Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to third party under a "pass-through" arrangement; or
- the Group has transferred its rights to receive cash flows from the asset and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all risks and rewards of the asset, but has transferred control of the asset.

Where the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

Financial liabilities

A financial liability is derecognized when the obligation under the liability was discharged, cancelled or has expired.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the consolidated statement of comprehensive income.

Impairment of Financial Assets

The Group recognizes an allowance for ECL for all debt instruments that are measured at amortized cost or at FVOCI. ECL is a probability-weighted estimate of credit losses over the expected life of the financial asset.

Credit losses are the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at the original effective interest rate. The expected cash flows include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

The Group assesses at each end of the reporting period whether the credit risk on a financial asset has increased significantly since initial recognition. For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is measured at an amount equal to the lifetime ECL. For credit exposures for which there has not been a significant increase in

credit risk since initial recognition, a loss allowance is measured at an amount equal to 12-month ECL. Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12-month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial instrument that are possible within twelve (12) months after the reporting period.

For trade and other receivables, the Group applies a simplified in calculating ECL. The ECL on these financial assets are estimated using a provision matrix based on the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment, including time value of money where appropriate.

For advances to third parties and related parties, the Group applies a general approach in calculating ECL. The Company recognizes a loss allowance using management's adopted policy on ECL at the end of each reporting period.

When the credit risk on financial instruments for which lifetime ECL have been recognized subsequently improves, and the requirement for recognizing lifetime ECL is no longer met, the loss allowance is measured at an amount equal to 12-month ECL at the current reporting period, except for assets for which simplified approach was used.

The Group recognizes impairment loss (reversals) in consolidated statements of comprehensive income for all financial assets with a corresponding adjustment to their carrying amount through a loss allowance account, except for investments in debt instruments that are measured at FVOCI, for which the loss allowance is recognized in other comprehensive income and does not reduce the carrying amount of the financial asset in the consolidated statements of financial position.

Significant increase in credit risk

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Group compares the risk of a default occurring on the financial instrument at the end of reporting period with the risk of a default occurring on the financial instrument at the date of initial recognition. In making this assessment, the Group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort. Forward-looking information considered includes the future prospects of the industries in which the Group's debtors operate, obtained from economic expert reports, financial analysts, governmental bodies, relevant think-tanks and other similar organizations, as well as consideration of various external sources of actual and forecast economic information that relate to the Group's core operations.

In particular, the following information is taken into account when assessing whether credit risk has increased significantly since initial recognition:

- an actual or expected significant deterioration in the financial instrument's external (if available) or internal credit rating;
- significant deterioration in external market indicators of credit risk for a particular financial instrument, e.g. the extent to which the fair value of a financial asset has been less than its amortized cost;
- existing or forecast adverse changes in business, financial or economic conditions that are expected to cause a significant decrease in the debtor's ability to meet its debt obligations;
- an actual or expected significant deterioration in the operating results of the debtor;
- significant increases in credit risk on other financial instruments of the same debtor;
- an actual or expected significant adverse change in the regulatory, economic, or technological environment of the debtor that results in a significant decrease in the debtor's ability to meet its debt obligations.

Irrespective of the outcome of the above assessment, the Group presumes that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are one (1) day past due, unless the Group has reasonable and supportable information that demonstrates otherwise.

Despite the foregoing, the Group assumes that the credit risk on a financial instrument has not increased significantly since initial recognition if the financial instrument is determined to have low credit risk at the end of reporting period. A financial instrument is determined to have low credit risk if:

- the financial instrument has a low risk of default;
- the debtor has a strong capacity to meet its contractual cash flow obligations in the near term; and
- adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the borrower to fulfil its contractual cash flow obligations.

The Group considers a financial asset to have low credit risk when the asset has external credit rating of 'investment grade' in accordance with the globally understood definition or if an external rating is not available, the asset has an internal rating of 'performing'. Performing means that the counterparty has a strong financial position and there is no past due amounts.

The Group regularly monitors the effectiveness of the criteria used to identify whether there has been a significant increase in credit risk and revises them as appropriate to ensure that the criteria are capable of identifying significant increase in credit risk before the amount becomes past due.

Definition of default

The Group considers the following as constituting an event of default for internal credit risk management purposes as historical experience indicates that financial assets that meet either of the following criteria are generally not recoverable:

- when there is a breach of financial covenants by the debtor; or
- information developed internally or obtained from external sources indicates that the debtor is unlikely to pay its creditors, including the Group, in full (without taking into account any collateral held by the Group)

Irrespective of the above analysis, the Group considers that default has occurred when a financial asset is more than one (1) year past due unless the Group has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

Credit-impaired financial assets

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is credit-impaired includes observable data about the following events:

- significant financial difficulty of the issuer or the borrower;
- a breach of contract, such as a default or past due event;
- the lenders of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession that the lenders would not otherwise consider;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganization; or
- the disappearance of an active market for that financial asset because of financial difficulties.

Write-off policy

The Group writes-off a financial asset when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or in the case of trade receivables and contract assets, when the amounts are over five (5) years past due, whichever occurs sooner.

Financial assets written off may still be subject to enforcement activities under the Group's recovery procedures, taking into account legal advice where appropriate. Any recoveries made are recognized in consolidated statements of comprehensive income.

Prepayments and Other Current Assets

Prepayments are expenses paid in advance and recorded as asset before they are utilized. Prepayments are initially recognized at cost and subsequently measured at cost less any utilized portion and impairment loss. This account comprises prepaid items which are apportioned over the period covered by the payment and charged to the appropriate accounts in the consolidated statements of comprehensive income when incurred.

Prepayments that are expected to be realized for not more than twelve (12) months after the reporting period are classified as current assets; otherwise, these are classified as other noncurrent assets.

An impairment loss is recognized for the amount by which the assets carrying amount exceeds its recoverable amount. Prepaid expenses are derecognized upon consumption and usage.

Input value-added tax (VAT) and Other Prepaid Taxes

Input VAT is the indirect tax paid by the Group on the local purchase of goods or services from a VAT-registered person. Creditable withholding tax pertains to taxes withheld by the customers upon payment and is to be deducted from income tax payable of the Group.

The Group's input tax and other prepaid taxes are initially recognized at face value and subsequently measured at face value less provision for impairment, if any. Allowance for unrecoverable input tax and other prepaid taxes, if any, are maintained by the Group at a level considered adequate to provide for potential uncollectible portion of the claims. The Group, on a continuing basis, makes a review of the status of the claims designed to identify those that may require provision for impairment loss.

Property and Equipment

Property and equipment are tangible assets that are held for use supply of services, for rental to others, or for administrative purposes, and are expected to be used during more than one (1) period.

Property and equipment are initially measured at cost. The cost of property and equipment comprises its purchase price, including import duties, taxes and any directly attributable costs of bringing the asset to its working condition and location of its intended use.

Subsequent to initial recognition, property and equipment are carried at cost less accumulated depreciation and any impairment in value.

Expenses that provide incremental future economic benefits to the Group are added to the carrying amount of an item of property and equipment. All other expenses are recognized in the consolidated statements of comprehensive income as incurred.

Depreciation of property and equipment commences once the property and equipment are available for use and computed using the straight-line basis over the estimated useful life of property and equipment as follows:

	In Years
Buildings and improvements	5 to 50
Machinery and equipment	4 to 32
Transportation equipment and tools	5 to 10
Furniture and fixtures	3 to 10
Right-of-use Asset	2

The useful lives and depreciation method are reviewed annually to ensure that the period and method of depreciation are consistent with the expected pattern of economic benefits from items of property and equipment.

When property and equipment are retired or otherwise disposed of, the cost and the related accumulated depreciation and accumulated provision for impairment losses, if any, are removed from the accounts and any resulting gain or loss is credited to or charged against current operations. Fully depreciated property and equipment are retained in the accounts until they are no longer in use and no further depreciation is charged against current operations.

Investment Properties

Investment properties are for rental and capital appreciation, and not occupied by the Group.

Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties (except land) are carried at cost less accumulated depreciation and any impairment in value. Land is carried at cost less any impairment in value.

Expenses that provide incremental future economic benefits to the Group are added to the carrying amount of an item of property and equipment. All other expenses are recognized in the consolidated statements of comprehensive income as incurred.

Depreciation is computed using the straight-line method over the following estimated useful lives:

	In Years
Buildings and improvements	50
Land improvements	5

Investment properties are derecognized when either they have been disposed of or when they are permanently withdrawn from use and no future economic benefit is expected from their disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the consolidated statement of comprehensive income in the year of retirement or disposal.

A transfer is made to investment property when there is a change in use, evidenced by ending of owner-occupation and commencement of an operating lease to another party. A transfer is made from investment property when and only when there is a change in use, evidenced by commencement of owner-occupation or commencement of development with a view to sale. A transfer between investment property, owner-occupied property and inventory does not change the carrying amount of the property transferred nor does it change the cost of that property for measurement or disclosure purposes.

Interest in Joint Operation

The Group has entered into joint operations for the development of properties.

A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets, and obligations for the liabilities, relating to the arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

When a Group undertakes its activities under joint operations, the Group as a joint operator recognizes in relation to its interest in a joint operation:

- Its assets, including its share of any assets held jointly.
- Its liabilities, including its share of any liabilities incurred jointly.
- Its revenue from the sale of its share of the output arising from the joint operation.
- Its share of the revenue from the sale of the output by the joint operation.
- Its expenses, including its share of any expenses incurred jointly.

The Group accounts for the assets, liabilities, revenues and expenses relating to its interest in a joint operation in accordance with the PFRS applicable to the particular assets, liabilities, revenues and expenses.

When a group entity transacts with a joint operation in which a group entity is a joint operator (such as a sale or contribution of assets), the Group is considered to be conducting the transaction with the other parties to the joint operation, and gains and losses resulting from the transactions are recognized in the Group's consolidated financial statements only to the extent of other parties' interests in the joint operation.

When a group entity transacts with a joint operation in which a group entity is a joint operator (such as a purchase of assets), the Group does not recognize its share of the gains and losses until it resells those assets to a third party.

Impairment of Non-Financial Assets

At the end of each reporting period, the Group reviews the carrying amounts of its non-financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the assets is estimated in order to determine the extent of the impairment loss (if any). When the asset does not generate cash flows that are independent from other assets, the Group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted at their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted. If the recoverable amount of an asset is

estimated to be less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. An impairment loss is recognized as an expense immediately.

When an impairment loss subsequently reverses, the carrying amount of the asset or cash generating unit is increase to the revised estimate of its recoverable amount, but only to the extent of the carrying amount that would have been determined (net of any depreciation) had no impairment loss been recognized for the asset or cash-generating unit in prior years. A reversal of an impairment loss is recognized as income.

Equity

An equity instrument is any contract that evidences a residual interest in the assets of the Group after deducting all of its liabilities. Equity instruments are measured (initial and subsequent) at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Capital stock

Capital stock represents the par value of the shares of the Parent Company that are issued and outstanding as of reporting date.

Additional paid-in Capital

Additional paid-in capital includes any premium received on the initial issuance of capital stock. Any transaction costs associated with the issuance of shares are deducted from additional paid-in capital, net of any related income tax benefits.

Treasury shares

Treasury shares are own equity instruments which are reacquired and are recognized at cost and deducted from equity. No gain or loss is recognized in profit or loss on the purchase, sale, issue or cancellation of the Group's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in additional paid-in capital. Voting rights related to treasury shares are nullified for the Group and no dividends are allocated to them respectively.

When the shares are retired, the capital stock account is reduced by its par value and the excess of cost over par value upon retirement is debited to additional paid-in capital to the extent of the specific or average additional paid-in capital when the shares were issued and to retained earnings for the remaining balance.

Treasury shares represent capital stock of the Parent Company that is owned by its subsidiary.

Deficit

Deficit includes all current and prior period results of operation as disclosed in the consolidated statements of comprehensive income.

Revenue Recognition

Revenue is recognized to the extent that it is probable that economic benefits will flow to the entity and the amount of revenue can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, and represents amounts receivable for services provided in the normal course of business.

Rental income

Rental from investment properties that is leased to a third party under an operating lease is recognized in the consolidated statements of comprehensive income on a straight-line basis over the lease term. Rental received in advance is treated as advances from lessees and recognized as income when actually earned.

Interest income

Interest income is accrued on a time proportion basis, by reference to the principal amount outstanding and at the effective interest rate applicable.

Other income

Other income is income generated outside the normal course of business and is recognized when it is probable that the economic benefits will flow to the Group and it can be measured reliably.

Expense Recognition

Cost and expenses are recognized in the consolidated statements of comprehensive income when decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably. Expenses in the consolidated statements of comprehensive income are presented using the functional method.

Direct cost and expenses

Direct cost and expenses are recognized as expense when the related services are rendered.

Operating expenses

Operating expenses constitute costs of operating and administering the business and are expensed as incurred.

Income Tax

The tax expense for the period comprises current tax only. Tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is recognized, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, deferred tax liabilities are not recognized if they arise from the initial recognition of goodwill; deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable income. Deferred income tax is determined using tax rates and laws, in the period the temporary difference is expected to be recovered or settled, that have been enacted or substantively enacted as at reporting period.

Deferred income tax assets are recognized only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized. At each reporting date the Group reassesses the need to recognize previously unrecognized deferred income tax asset.

Deferred income tax assets are recognized for all deductible temporary differences, carrying forward benefits of unused tax credits from excess of minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and unused net operating loss carryover (NOLCO), to the extent that it is probable that sufficient future taxable profits will be available against which the deductible temporary differences, carrying forward benefits of unused tax credits from excess of MCIT over RCIT and unused NOLCO can be utilized. Deferred income tax liabilities are recognized for all taxable temporary differences.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax asset against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

Leases**Group as Lessee**

At inception of a contract, the Group assesses whether a contract is, or contains, a lease based on whether the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The Group has elected to apply the practical expedient to account for each lease component and any non-lease components as a single lease component.

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined generally, the Group uses its incremental borrowing rate as the discount rate.

The lease liability is measured at amortized cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group applies the practical expedient not to recognize right-of-use assets and lease liabilities for short-term leases that have a lease term of 12 months or less and leases of low-value assets. The lease payments associated with these leases is recognized as an expense on a straight-line basis over the lease term.

Group as Lessor

Leases wherein the Group substantially transfers to the lessee all risks and benefits incidental to ownership of the leased item are classified as finance leases and are presented as receivable at an amount equal to the Group's net investment in the lease. Finance income is recognized based on the pattern reflecting a constant periodic rate of return on the Group's net investment outstanding in respect of the finance lease.

Leases which do not transfer to the lessee substantially all the risks and benefits of ownership of the asset are classified as operating lease. Lease income from operating lease is recognized in the consolidated statement of comprehensive income on a straight-line basis over the lease term.

The Group determines whether an arrangement is, or contains a lease based on the substance of the arrangement. It makes an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

The Group is a party to operating leases as a lessor. Rentals received under operating leases are charged to consolidated statements of comprehensive income (net of any incentives).

Related Party Relationships and Transactions

A related party transaction is a transfer of resources, services or obligations between related parties, regardless of whether a price is charged.

Related party relationship exists when: (a) a person or a close member of that person's family has control or joint control, has significant influence or is a member of the key management personnel of the reporting entity or of a parent of the reporting entity; and (b) when any of the following conditions apply: (i) the entity and the Group are members of the same group; (ii) one entity is an associate or joint venture of the other entity; (iii) both entities are joint ventures of the same third party; (iv) one entity is a joint venture of a third entity and the other entity is an associate of the third party; (v) the entity is a post-employment benefit plan for the benefit of employees of the Group; (vi) the entity is controlled or jointly controlled by a person as identified in (a) above; (vii) the entity or any member of a group of which it is part, provides key management personnel services to the Group or to the parent of the Company; (viii) a person identified in (a) above has significant influence over the entity or is a member of the key management personnel of the entity or of a parent of the entity.

In considering each possible related party relationship, attention is directed to the substance of the relationships, and not merely the legal form.

Retirement Benefits Obligation

The Group has no formal retirement plan for its employees as it does not meet the minimum number of employees required for the establishment of a retirement benefit plan, but accrues the estimated cost of retirement benefits required by the provisions of Republic Act (RA) No. 7641 (Retirement Law). Under RA 7641, the Group is required to provide minimum retirement benefits to qualified employees. The

retirement cost accrued includes current service cost and estimated past service cost as determined under RA 7641.

Segment Reporting

A business segment is a Group of assets and operations engaged in providing products or services that are subject to risks and returns that are different from those of other business segments. A geographical segment is engaged in providing products or services within a particular economic environment that are subject to risks and return that are different from those of segments operating in other economic environments.

Operating segments are reported on the basis upon which the Group reports its primary segment information. Financial information on business segments is presented in Note 21.

Earnings (Loss) Per Share

Earnings (loss) per share are determined by dividing net income (loss) for the year by the weighted average number of common shares outstanding during the year, excluding common shares purchased by the Group and held as treasury shares.

Provisions and Contingencies

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. When the Group expects a provision or loss to be reimbursed, the reimbursement is recognized as a separate asset only when the reimbursement is virtually certain and its amount is estimable. The expense relating to any provision is presented in the consolidated statements of comprehensive income, net of any reimbursement.

Contingent liabilities are not recognized in the consolidated financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but disclosed when an inflow of economic benefits is probable. Contingent assets are assessed continually to ensure that developments are appropriately reflected in the financial statements. If it has become virtually certain that an inflow of economic benefits will arise, the asset and the related income are recognized in the consolidated financial statements.

Events After the Reporting Date

The Group identifies post-year events as events that occurred after the reporting date but before the date when the consolidated financial statements were authorized for issue. Post year-end events that provide additional information about the Group's position at the reporting date (adjusting events) are reflected in the consolidated financial statements. Post year-end events that are not adjusting events are disclosed in the consolidated financial statements when material.

3. MATERIAL ACCOUNTING JUDGMENTS AND CRITICAL ACCOUNTING ESTIMATES AND ASSUMPTION

The preparation of the Group's consolidated financial statements requires management to make judgments and estimates that affect amounts reported in the consolidated financial statements. These judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The Group believes the following represent a summary of these significant judgments and estimate and related impact and associated risks in the consolidated financial statements.

Material Accounting Judgments in Applying the Group's Accounting

In the process of applying the Group's accounting policies, management has made the following judgments apart from those involving estimation, which have the most significant effect on the amounts recognized in the consolidated financial statements:

Leases

Group as lessee

The Group has entered into contract of lease for its office space it occupies. In determining the substance of the lease, the Group considered, among others, whether a contract is, or contains, a lease based on whether the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. Based on management judgment, the Group's lease for its office space has substance of lease, thus, the Group recognized right-of-use asset representing the right to use the leased asset and lease liability representing its obligation to make lease payments.

Group as lessor

The Group has entered into property leases on its buildings classified as investment properties. The Group has determined that it retains all significant risks and rewards of ownership of the property as the Group considered, among others, the length of the lease term as compared with the estimated life of the assets. The Group's operating lease contracts are accounted for as non-cancellable operating leases. In determining whether a lease contract is non-cancellable, the Group considers the provisions in the lease contract which among others, the payment of rental corresponding to the unexpired portion of the lease period. The Group accounts the lease of its buildings under operating lease in accordance with the provision of lease contract and terms of the lease.

Distinction between investment properties and interest in joint operation

The Group determines whether a property contributed to joint venture operations will be classified as investment properties or investment in joint venture. In making this judgment, the Group considers whether the property generates cash flows largely independent of the other assets held by the Group or whether it will be retained as part of the Group's asset and treated as the Group's share in the joint venture, based on the provisions governing the joint venture agreement. The Group considers land contributed to the joint venture as its investment. The Group, in the normal course of business does not hold the property to earn rentals or for capital appreciation; accordingly, land invested in the joint venture is classified as interest in joint operation (see Note 9).

Realizability of input VAT

The Group reviews and assesses its input VAT for its recoverability. Factors which primarily affect the recoverability include the completeness of the supporting documentation, entitlement to claim VAT paid as input tax credit against output tax liabilities and future vatable revenue. As at September 30, 2025 and 2024, the Group assessed that its input VAT is recoverable in future periods.

The Group's input VAT amounted to ₱5,494,233 and ₱5,002,144 as at September 30, 2025 and 2024, respectively (see Note 6).

Operating segments

The Group is organized and managed separately according to the nature of business. The Group reports its segment information according to its activities. Reportable segment operation pertains to the Group's leasing activity, while the non-reportable segment operation pertains to manufacturing operation, and mining and oil exploration.

Provisions and contingencies

Judgment is exercised by management to distinguish between provisions and contingencies. Policies on recognition and disclosure of provision and disclosure of contingencies are discussed in Note 2.

Significant Accounting Estimates and Assumptions

Determination of ECL on trade and other receivables, and advances to related parties

The measurement of the allowance for ECL on financial assets at amortized cost is an area that requires the use of significant assumptions about the future economic conditions and credit behavior (e.g., likelihood of customers defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation used in measuring ECL is further detailed in Note 22.

The carrying amount of the Group's trade and other receivables amounted to ₱37,257,785 and ₱27,654,292 as at September 30, 2025 and 2024, respectively. Allowance for ECL recognized in the statements of financial position amounted to ₱82,323,278 and ₱82,216,857 as at September 30, 2025 and 2024, respectively (see Note 5).

The carrying amount of the Group's advances to related parties amounted to ₱33,519,669 and ₱21,714,882 as at September 30, 2025 and 2024, respectively. Allowance for ECL recognized in the statements of financial position amounted to ₱7,860,250 and ₱127,632,610 as at September 30, 2025 and 2024, respectively (see Note 18).

Useful lives of property and equipment, and investment properties

The Group estimates the useful lives of property and equipment, and investment properties, except land, are based on the period over which the assets are expected to be available for use. The estimated useful lives are reviewed and updated if expectations differ from previous estimates due to physical wear and tear. The estimation of the useful lives of the property and equipment, and investment properties is based on a collective assessment of industry practice and experience with similar assets. It is possible, however, that future results of operations could be materially affected by changes in estimates brought about by changes in factors mentioned above.

The amounts and timing of recorded expenses for any period would be affected by changes in these factors and circumstances. A reduction in the estimated useful lives of the property and equipment, and investment properties would increase recorded operating expenses and decrease noncurrent assets.

The net carrying values of the Group's investment properties (except land) and property and equipment as at September 30, 2025 and 2024 are as follows:

	2025	2024
Property and equipment	₱308,121	₱298,381
Investment properties	38,529,208	40,889,928
	₱38,837,329	₱41,188,309

Impairment of non-financial assets

Non-financial assets are periodically reviewed to determine any indication of impairment. Though management believes that the assumptions used in the estimation of fair values are reasonable and appropriate, significant changes in these assumptions may materially affect the assessment of the recoverable amounts and any resulting impairment loss could have a material adverse effect in the results of operations.

The accumulated impairment losses on investment properties, investment in joint venture, and property and equipment amounted to ₱237,408,239, ₱47,641,000, and ₱80,120,199, respectively, as at September 30, 2025 and 2024 (see Notes 8, 9 and 10).

Retirement benefits obligation

The determination of the Group's obligation and cost of pension benefits is dependent on certain assumptions used by management in calculating such amounts. Any changes in these assumptions will impact the carrying amount of retirement benefit obligation. In estimating the Group's retirement benefit obligation, the Group used the minimum required retirement payment of 22 ½ days for every year of service as mandated by RA 7641. The Group also considers the employee's current salary rate and the employees' number of service years.

Retirement benefits obligation as at September 30, 2025 and 2024, amounted to ₱917,400 and ₱875,700, respectively (see Note 17). The Group believes that the retirement benefits obligation and retirement expense would not materially differ had the Group used projected unit credit method for the computation of retirement benefits because of minimal number of employees.

Deferred tax assets

The Group reviews its deferred tax assets at the end of each reporting period and reduces the carrying amount to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. The recognition of deferred tax assets is based on the assessment that the Group will generate sufficient taxable profit to allow all or part of the deferred tax assets will be utilized.

The Group looks at its projected performance in assessing the sufficiency and timing of future taxable income. Based on management assessment, the Group would not be able to realize the deferred tax assets in the near future.

4. **CASH**

Cash as at September 30 are as follows:

	2025	2024
Cash on hand	₱20,000	₱20,000
Cash in bank	6,753,492	10,615,413
	₱6,773,492	₱10,635,413

Cash in banks earn interest at the respective bank deposit rates. Interest income earned from deposits amounted to ₱8,122 and ₱7,236 as of September 30, 2025 and 2024, respectively (note 16).

There is no restriction on the Group's cash as at September 30, 2025 and 2024.

5. **TRADE AND OTHER RECEIVABLES** – net

Trade and other receivables as at September 30 are as follows:

	2025	2024
Advances to third parties	₱111,489,709	₱100,644,242
Receivable from related parties - 18	318,506	318,506
Rental receivable - 19	–	345,003
Utilities receivable	433,152	531,678
Others	7,339,696	8,031,720
	119,581,063	109,871,149
Allowance for ECL	(82,323,278)	(82,216,857)
	₱37,257,785	₱27,654,292

Rent Receivable are non-interest bearing and are collectible within thirty (30) days.

Advances to third parties represent receivable from a previously disposed subsidiary.

Other receivables include advances to employees and reimbursable expenses from PCIC subsidiaries' tenants.

Certain trade and other receivables were found to be impaired using the provisional matrix as determined by the management, hence, adequate amounts of allowance for impairment have been recognized

The movement in the allowance for ECL is as follows:

	2025	2024
Beginning Balance	₱82,323,278	₱82,216,857
Provision for ECL	–	–
	₱82,323,278	₱82,216,857

The Group's trade and receivables as at September 30, 2025 and 2024 are not held as collateral for its liabilities and are free from any encumbrances.

6. PREPAYMENTS AND OTHER CURRENT ASSETS

Prepayments and Other Current Assets as at September 30 are as follows:

	2025	2024
Creditable withholding tax	₱13,044,464	₱14,282,538
Input VAT	5,494,233	5,002,144
Other Prepaid Expenses	35,964	2,932
	₱18,544,661	₱19,287,614

As at September 30, 2025 and 2024, respectively, no provision for impairment has been recorded since management believes that the accounts are fully realizable.

7. FINANCIAL ASSET AT FVOCI

The Group's financial asset at FVOCI consists of investment in unquoted shares of stock amounting to ₱12,500,000 represents ownership in Bulacan Harbour Dev't. Corp. This investment is irrevocably designated at FVOCI as the Group considers this investment to be strategic in nature and it holds this investment to foreseeable future. The cost of the investment approximates its fair value decreased by unrealized fair value loss amounting to ₱506,250 and nil as of September 30, 2025 and 2024, respectively. Thus, a fair value is ₱11,933,750 and ₱12,500,000 as of September 30, 2025 and 2024.

The Group's financial assets at FVOCI as at September 30, 2025 and 2024 are not held as collateral for its financial liabilities.

8. INVESTMENT PROPERTIES – net

Details of investment properties as at September 30 are as follows:

September 30, 2025	Land	Land improvement	Building and improvements	Total
Cost				
Beginning	₱1,210,621,504	₱3,290,825	₱312,179,250	1,526,091,579
Addition	-	446,429	-	446,429
Ending	1,210,621,504	3,737,254	312,179,250	1,526,538,008
Accumulated Depreciation				
Beginning	-	3,290,825	95,199,690	98,490,515
Depreciation	-	-	2,299,192	2,299,192
Ending	-	3,290,825	97,498,882	100,789,707
Accumulated impairment loss				
Beginning and end of the year	60,810,650	-	176,597,589	237,408,239
New Carrying amount	₱1,149,810,854	₱ 446,429	₱38,082,779	₱1,188,340,062

September 30, 2024	Land	Land improvement	Building and improvements	Total
Cost				
Beginning	₱1,024,201,504	₱3,290,825	₱312,179,250	1,339,671,579
Write off	-	-	-	-
Ending	1,024,201,504	3,290,825	312,179,250	1,339,671,579
Accumulated Depreciation				
Beginning	-	3,290,825	92,392,544	95,683,369
Depreciation	-	-	2,299,191	2,299,191
Ending	-	3,290,825	94,691,734	97,982,559
Accumulated impairment loss				
Beginning and end of the year	60,810,650	-	176,597,589	237,408,239
New Carrying amount	₱963,390,854	₱ -	₱40,889,927	₱1,004,280,781

Rental income earned on the above investment properties amounted to ₱4,998,937 and ₱7,080,741 for the quarters ended September 30, 2025 and 2024, respectively. While direct costs and expenses incurred on the buildings amounted to ₱0.8 million and ₱0.8 million in September 30, 2025 and 2024,

respectively, shown under “Direct costs and expenses” in the statements of comprehensive income (see Note 14).

Fully depreciated investment properties still in use as at September 30, 2025 and 2024 amounted to ₱3,290,824.

The aggregate fair value of the investment properties amounted to ₱4,393,513,600 and ₱3,600,224,600, as at September 30, 2025 and 2024, respectively.

The fair values are based on combination of appraisal done by an independent appraiser on various dates in 2022 and using the market approach, in which the fair value is based on prices recently paid for similar assets, with adjustment made to the indicated market prices to reflect condition and utility of the appraised assets relative to the market comparable.

The fair value of the land was arrived using the sales comparison approach. This comparative approach, considers the sales of similar or substitute properties and related market data, and establishes a value estimate by process involving comparison. The value of the building and improvements was arrived at using cost approach. In the cost approach, an estimate is made of the current replacement/reproduction cost, new of the replaceable property in accordance with the prevailing market prices for materials, equipment, labor, contractor’s overhead, profit, fees and all other attendant costs associated with its acquisition, installation and construction in place, but without provision for overtime or bonuses for labor and premiums for materials.

The fair value information of investment properties is disclosed in Note 24.

Except from restrictions described above, there are no other restrictions on the realizability of its investment properties and no other contractual obligations to purchase, construct or develop investment properties or for repairs, maintenance and enhancements.

9. INTEREST IN JOINT OPERATION – net

The Group’s investment in joint venture represents land contributed to the Joint Venture.

In July 1997, the Group, together with International Polymer Corp. (IPC), Pacific Rehouse Corp. (PRC) and Ropeman International Corp. (RIC), entered into a Joint Venture Agreement (the “Agreement”) as Owners with Philippine Estates Corporation (PHES), as Developer for the Metrotech Industrial Park. Under the agreement, the owners contributed land with an approximate area of 29.5629 hectares located in Canumay, Valenzuela City, whereby PHES will develop into industrial estate in accordance with the plans mutually agreed by venturers.

The developer is entitled to forty percent (40%) of the net proceeds after deducting all relevant taxes, marketing and administrative expenses, and the remaining sixty percent (60%) of the shall constitute the owners share, divided proportionately to the areas of property contributed.

The carrying amount of joint venture asset is as follows:

	2025	2024
Cost		
At beginning and end of period	₱570,557,369	₱570,557,369
Adjustment	-	-
	570,557,369	570,557,369
Accumulated impairment loss		
At beginning and end of period	47,641,000	47,641,000
Net carrying amounts	₱522,916,369	₱522,916,369

The fair value information of investment in joint operation is disclosed in Note 24.

No liabilities, revenue and expenses recognized in relation to the joint venture for the 3rd quarter of 2025 and 2024.

10. PROPERTY AND EQUIPMENT – net

The reconciliation of property and equipment as at September 30 as follows:

	Building and Improvements	Machinery and Equipment	Transportation Equipment and Tools	Furniture and Fixtures	Right-Of- Use Asset	Total
Cost						
At beginning & end of period	₱800,000	₱547,522,657	₱9,917,567	₱10,043,310	₱272,934	₱568,556,468
Additional/Disposal	-	-	-	-	-	-
	800,000	547,522,657	9,917,567	10,043,310	272,934	568,556,468
Accumulated depreciation						
At beginning of period	800,000	467,402,458	9,917,567	9,823,617	90,977	488,034,619
Depreciation	-	-	-	93,529	-	93,529
Balance at end of period	800,000	467,402,458	9,917,567	9,917,146	90,977	488,128,148
Impairment loss						
Balance at beg. and end of period	-	80,120,199	-	-	-	80,120,199
Net carrying amounts, September 30, 2025	₱-	₱-	₱-	₱126,164	₱181,957	₱308,121

	Building and Improvements	Machinery and Equipment	Transportation Equipment and Tools	Furniture and Fixtures	Right-Of- Use Asset	Total
Cost						
At beginning & end of period	₱800,000	₱547,522,657	₱9,917,567	₱10,043,310	₱285,077	₱568,568,611
Additional/Disposal	-	-	-	-	-	-
	800,000	547,522,657	9,917,567	10,043,310	285,077	568,568,611
Accumulated depreciation						
At beginning of period	800,000	467,402,458	9,917,567	9,629,178	237,564	487,986,767
Depreciation	-	-	-	163,264	-	163,264
Balance at end of period	800,000	467,402,458	9,917,567	9,792,442	237,564	488,150,031
Impairment loss						
Balance at beg. and end of period	-	80,120,199	-	-	-	80,120,199
Net carrying amounts, September 30, 2024	₱-	₱-	₱-	₱250,868	₱47,513	₱298,381

Reversal of right-of-use assets pertains to expired lease contract.

In 2020, the Group purchased two units of delivery truck and used as collateral for the borrowings obtained from a local bank (see Note 12). The loan was fully paid in 2023.

Total depreciation charged to operation amounted to ₱93,529 and ₱163,264 in 3rd quarter of 2025 and 2024, (see Note 15).

Fully depreciated property and equipment still in use as at September 30, 2025 and 2024 amounted to ₱567,909,424 and ₱558,240,224, respectively

11. ACCOUNTS PAYABLE AND OTHER LIABILITIES

Accounts payable and other liabilities as at September 30 are as follows:

	2025	2024
Accounts payable	₱5,915,587	₱5,033,326
Government liabilities	919,244	1,658,286
Deferred rental	2,132,380	4,448,030
	₱8,967,211	₱11,139,642

Accounts payable pertains to the amount due to supplier payable from thirty (30) to ninety (90) days from the date of sale and do not bear any interest.

Deferred rental represents advance rental paid by the lessees.

Government liabilities pertain to VAT payable and tax withheld from payment to suppliers, employee's compensation, and statutory contributions to SSS, PHIC and HDMF.

There were no assets of the Group that were collateralized for the above accounts payable and other liabilities as at September 30, 2025 and 2024.

12. **BORROWINGS**

Borrowings as at September 30 consist of:

	2025	2024
Current	₱ -	₱ -
Noncurrent	-	-
	₱ -	₱ -

On December 5, 2020, the Group entered into a chattel mortgage agreement with a local bank amounting to ₱1,140,000, to finance the purchase of Group's delivery trucks. The loan carries an annual interest of 9.46%, or total financing charges of ₱163,704 which approximates the market rate. The loan is secured by transportation equipment.

This loan is secured by transportation equipment with a carrying amount of nil as of September 30, 2025 and 2024.

There were no significant loan covenants related to the Group's borrowings.

13. **CAPITAL STOCK**

Details of the Parent Company's capital stock as at September 30 are as follows:

	2025	2024	2023
Authorized – 3,500,000 shares			
at ₱1 par value per share	₱3,500,000,000	₱3,500,000,000	₱3,500,000,000
Issued and fully paid – 3,276,045,637 shares			
at ₱1 par value per share	3,276,045,637	3,276,045,637	3,276,045,637
Less: Treasury stock – 10,000 shares	10,000	10,000	10,000
	₱3,276,035,637	₱3,276,035,637	₱3,276,035,637

As at September 30, 2025, 2024 and 2023, the Parent Company has outstanding shares of 3,271,952,740, 3,271,952,740 and 3,271,952,740, respectively, under its name. Remaining unconverted shares under REDECO as at September 30, 2025, 2024 and 2023, is 4,092,897, 4,092,897 and 4,092,897, respectively. Outstanding shares owned by the public as at September 30, 2025, 2024 and 2023, is 1,417,890,205.

Track record of registration of securities

The Parent Company was originally registered as REDECO with the SEC on October 19, 1956. The Parent Company was listed with the PSE on January 9, 1958 with an initial registered 200,000,000 shares.

On May 25, 1995, the BOD and stockholders approved a reverse stock split and a subsequent increase in the authorized capital stock in line with its recapitalization program. Accordingly, on November 15, 1995, the Parent Company filed with the SEC a motion to effect a 1-for-5 reverse stock split which decreased its authorized capital from ₱75 million divided into 75 million shares to ₱15 million divided into 15 million shares, both with a par value of ₱1 per share. It was approved by the SEC on January 15, 1996. This was also done in order to recall all outstanding stock certificates and be able to account for the over-issuance of shares which management has decided to be absorbed by the Parent Company.

On January 8, 1996, the Parent Company filed with the SEC a motion to increase its authorized capital stock from ₱15 million divided into 15 million shares to ₱1 billion divided into 1 billion shares with a par value of P1. The increase was approved by the SEC on May 16, 1996. Subscriptions to the increase in authorized capital stock were made through stocks-for-assets swap.

On September 2, 1996, the Board of Directors and the stockholders approved a resolution to amend the Parent Company's Articles of Incorporation changing the par value per share of its capital stock from ₱0.01 to ₱1.00, removing the pre-emptive rights of shareholders and increasing the authorized capital stock from ₱500 million divided by 50 billion shares with a par value of ₱0.01 per share to ₱2.0 billion divided into 2.0 billion shares with a par value of ₱1.00 per share. The proposed amendments were approved by the SEC on September 27, 1996.

Relative to the approval of the proposed amendment, any part of such stock or other securities may, at any time, be issued, optioned for sale and sold or disposed of by the Parent Company pursuant to resolution of the Board of Directors, to such persons and upon such terms as the Board may deem proper, without first offering such stock or securities or any part thereof to existing stockholders.

On August 22, 1997, the Board of Directors and the stockholders approved a further increase in the Parent Company's authorized capital stock from ₱2.0 billion to ₱3.5 billion divided into 3.5 billion shares with a par value of ₱1.00 per share. On March 11, 1998, the SEC approved the increase in the Parent Company's authorized capital stock.

Treasury shares

Treasury shares represent 29,486,633 Parent Company's shares of stock acquired by Rexlon Industrial Corp. (RIC), a wholly owned subsidiary of PCIC, in prior years. In 2007 and 2009, RIC sold 13,000,000 and 16,476,633 shares of the Parent Company to a third party.

14. DIRECT COSTS AND EXPENSES

Direct costs and expenses for the quarters ended September 30 are as follows:

	2025		2024	
	Jul - Sept	Jan - Sept	Jul - Sept	Jan - Sept
Security services	₱-	₱-	₱-	₱-
Depreciation	766,397	2,299,191	766,397	2,299,191
Property taxes	-	-	-	-
Repairs and maintenance	-	73,554	-	-
	₱766,397	₱2,372,745	₱766,397	₱2,299,191

15. OPERATING EXPENSES

Operating expenses for the quarters ended September 30 are as follows:

	2025		2024	
	Jul - Sept	Jan - Sept	Jul - Sept	Jan - Sept
Taxes and licenses	₱1,294,527	₱6,857,439	₱1,262,163	₱6,644,165
Security services	1,711,398	4,987,069	1,601,289	5,171,848
Salaries and wages	1,033,296	2,917,030	924,836	4,166,655
Repairs and maintenance	187,500	2,000,559	539,892	935,502
Rent, light and water	594,317	1,815,244	612,845	1,751,145
Professional fees	345,000	1,710,000	345,000	1,710,000
Employee benefits	252,436	513,593	121,139	385,382
Commission	88,728	486,792	166,253	613,068
Depreciation	31,178	93,529	31,176	163,264
Miscellaneous	264,777	1,049,707	315,294	797,981
	₱5,803,157	₱22,430,962	₱5,919,887	₱22,339,010

16. OTHER INCOME/(LOSS) – net

Other income for the quarter ended September 30 is as follows:

	2025		2024	
	Jul - Sept	Jan - Sept	Jul - Sept	Jan - Sept
Interest income	₱2,566	₱8,122	₱ 2,655	₱ 7,236
Other income	80,357	241,072	80,357	241,071
Total Other Income	₱82,923	₱249,194	₱83,012	₱248,307
Interest Expense	–	–	–	–
Other expense (penalties & surcharges)	–	–	–	(600,776)
	₱–	₱–	₱–	(₱600,776)

17. RETIREMENT BENEFITS OBLIGATION

The Group adopted Republic Act No. 7641 as its arrangement to provide retirement benefits to all its regular employees. In case of retirement, employees shall be entitled to receive such retirement benefits as may have been earned under the existing laws.

The movements in the defined benefit obligation recognized and presented as accrued retirement benefit obligation in the consolidated statement of financial position are as follows:

	2025	2024	2023
Balance at beginning of year	₱917,400	₱875,700	₱834,000
Retirement provision	–	–	–
Balance at end of year	₱917,400	₱875,700	₱834,000

The provision for retirement benefits in 2025, 2024 and 2023 were included under salaries, wages and employees benefit in the consolidated statements of comprehensive income. Management believes that the defined benefit obligation computed using the provisions of R.A 7641 is not materially different with the amount computed using the projected unit credit method as required under PAS 19, Employee Benefits.

18. RELATED PARTY TRANSACTIONS

The Group, in the normal course of business, has transactions with related parties. The specific relationships, amount of transaction, account balances, the terms and conditions and the nature of the consideration to be provided in settlement are shown below as at September 30.

Category	Amount/Volume		Outstanding Receivable		Terms and Condition
	Sept 30, 2025	Sept 30, 2024	Sept 30, 2025	Sept 30, 2024	
Receivable from related parties with common key management					
Genwire Manufacturing Corp. (GMC)	–	–	318,506	318,506	(a)
	–	₱–	₱318,506	₱318,506	
Advances to related parties with common key management					
Polymax Worldwide Limited (PWL)	(₱105,060,000)	₱–	₱–	₱105,060,000	(c)
The Wellex Group, Inc. (TWGI)	(3,744,358)	(3,262,962)	38,075,463	41,819,821	(c)
Concept Moulding Corp. (CMC)	836,785	662,343	3,304,456	2,467,671	(c)
	(107,967,573)	(2,600,619)	41,379,919	149,347,492	
Allowance for impairment	119,772,360	1,378,081	(7,860,250)	(127,632,610)	
	₱11,804,787	₱1,222,538	₱33,519,669	₱21,714,882	

Category	Amount/Volume		Outstanding Payable		Terms and Condition
	Sept 30, 2025	Sept 30, 2024	Sept 30, 2025	Sept 30, 2024	
Advances from related parties with common key management					
Plastic City Corp. (PCC)	P-	(P9,088,012)	P82,281,007	P79,900,813	(d)
Diamond Stainless Corp. (DSC)	-	-	70,557,800	70,557,800	(d)
International Polymer Corp. (IPC)	-	153,504	27,792,543	24,244,596	(d)
Philippine Estates Corp. (PHES)	-	(3,909,485)	39,903,381	34,023,403	(e)
Kenstar Industrial Corp. (KIC)	-	-	23,539,858	23,539,858	(d)
Rexlon Realty Corp. (RRC)	-	-	23,187,370	23,187,370	(d)
Pacific Rehouse Corp. (PRC)	-	-	15,540,753	15,540,753	(d)
The Wellex Group, Inc.	-	-	13,722,810	13,722,810	(d)
Polymaster Industrial Corp	-	-	62,500	62,500	(d)
Ropeman Int'l Corp.	-	-	3,202,528	3,202,528	(d)
	-	(12,843,993)	299,790,550	287,982,431	
Advances from stockholders/ key management					
Key management and officers	-	(10,299,372)	109,654,116	109,804,291	(f)
	P-	(P23,143,365)	P409,444,666	P397,786,722	

(a) Receivable from related parties with common key management

The Group pays operating expenses on behalf of GMC. These receivables are normally collected the following year, unsecured, non-interest bearing and with no guarantee. The Group has also made offsetting arrangements to settle intercompany receivables and payables.

(b) Advances to related parties with common key management

PWL

The Parent Company acted as a third-party mortgagor on a P350 million loan obtained by its affiliates, Metro Alliance Holdings & Equities Corp. (MAHEC) and PWL, from Philippine Veterans Bank (PVB) on December 29, 2006. A parcel of land owned by the Parent Company located in Pasig City, under Title No. TCT PT-101589, with a total area of 2,868 sqm. was used as a collateral for the loan.

Due to default in payments, PVB foreclosed the property on November 24, 2009, despite legal efforts by MAHEC and PWL to prevent the foreclosure. PVB subsequently sold the foreclosed property to a third party in March 2012.

The Parent Company recognized advances to PWL of P105.06 million for the net carrying value of the land foreclosed to settle the affiliate loan with the bank. Prior to the foreclosure, the Parent Company recognized impairment losses on the property amounting to P57.36 million in 2006, based on an appraisal as of September 18, 2006, and an additional P24.00 million in 2008 due to further decline in the prevailing market value. The total impairment loss recognized as of foreclosure date amounted to P81.36 million.

Legal proceedings continued and culminated in a decision by the Supreme Court (SC) on September 15, 2021, which affirmed with modifications the earlier rulings that declared the loan as fully paid and voided the foreclosure and sale of the property.

On October 30, 2024, the Sheriff enforced the SC's Writ of Execution, and PVB formally relinquished its claim and turned over the title and collateral documents to the Sheriff. This action allowed the Parent Company to regain possession of the Pasig property. Consequently, the Parent Company recognized the return of the investment property based on the original cost amounting to P186.42 million (see Note 8). Previously recorded impairment loss amounting to P81.36 million was reversed, accordingly.

TWGI

On December 16, 2020, TWGI issued promissory note amounting to ₱46,578,262 for five years maturing December 15, 2025 and bear an interest of 2% per annum. Interest income earned amounted to ₱931,565 in 2024. Charging of interest is made at every end of year.

To settle the outstanding advances, the Group entered into the following contracts with TWGI, which in return, amounts incurred will be applied to the outstanding advances:

- The Group entered into a Consultancy Agreement with TWGI which is valid until April 30, 2026. Total consultancy fees incurred for the quarters ended September 30, 2025 and 2024, amounted to ₱120,000.
- Lease Agreement for the Group's office space for a monthly rental of ₱12,500, utilities of ₱5,000, and storage fee of ₱1,000 which is valid from April 30, 2026. The Group recognized the asset as 'right-of-use asset' and corresponding lease liability. Total rent expense and utilities amounted to ₱37,500 and ₱18,000, respectively, for the quarters ended September 30, 2025 and 2024.

The present value of the lease liability as at September 30 is as follows:

	2025	2024
Current	₱137,908	₱48,323
Non-current	46,930	—
	₱184,838	₱48,323

The net carrying amount of the right-of-use assets recognized as at September 30, 2025 and 2024 is disclosed in Note 10.

CMC

The Group provided non-interest bearing and unguaranteed advances to CMC for working capital requirements. The advances are unsecured, with no definite terms of repayment and with no guarantee.

Certain advances to related parties were found to be impaired using the provisional matrix as determined by the management, hence, adequate amounts of allowance for impairment have been recognized (Note 22).

The movement in the allowance for ECL as of September 30 is as follows:

	2025	2024
Balance at beginning of year, as previously reported	₱7,860,250	₱127,632,610
Effect on adoption of PFRS 9	-	-
Balance at beginning of year, as restated	7,860,250	127,632,610
Provisions for ECL	-	-
At end of year	₱7,860,250	₱127,632,610

(c) Advances from related parties

In prior years, the Group obtained unguaranteed and non-interest-bearing cash advances from related parties intended to finance its operating expenses, capital expenditures and payment of outstanding obligations. The Group has not made any arrangement for the terms, security and guarantee on the advances as the subsidiaries has ceased its manufacturing operations. The advances are payable in cash upon settlement depending on the availability of funds. The Group was granted an unconditional right to defer settlement of the liability for at least twelve months after the reporting period. The management assessed that the advances from the related parties are not expected to be settled within 12 months from the reporting period.

(d) PHES

In 2009, the Group and PHES executed unsecured promissory note (PN) for the advances with a term of five (5) years, and bear interest of three percent (3%) per annum, renewable upon agreement of the parties. This PN was renewed in 2014 with a three-year term which matured during 2018 at interest of

two percent (2%) per annum. This cash advance is to be settled through cash payments. On December 29, 2016, the PN was renewed for three (3) years and matured in January 2021. The promissory note is extended for an additional three (3) years from January 31, 2021 to January 31, 2024. On January 31, 2024, the promissory note is extended for an additional three (3) years from January 31, 2024 to January 31, 2027.

(e) Advances from key management

The Group obtains non-interest bearing and unsecured advances from stockholders and key officers for working capital purposes. The advances have no guarantee and definite terms of repayment. Payment will depend on the availability of funds. The Group was granted an unconditional right to defer settlement of the liability for at least twelve months after the reporting period. The management assessed that the advances from the related parties are not expected to be settled within 12 months from the reporting period.

(f) Remuneration of key management personnel

Directors' fees for the quarters ended September 30, 2025 and 2024 is NIL.

With the cessation of the subsidiaries operations in prior years and the Group is in tight cash position, management decided to suspend any form of compensation to key management and officers effective in 2004.

19. LEASES

The Group entered into lease contracts with various tenants for the rental of the Group's warehouse and building facilities. The lease term ranges from three (3) months to one (1) year and is renewable under such terms and conditions as the parties may agree, provided that at least ninety (90) days prior to the expiration of the lease period, the lessee shall inform the lessor in writing of his desire to renew the lease.

Lease contracts include payment of advance rental by the lessee which shall be refunded without interest on the expiration of the lease or pre-termination of the lease period, less any corresponding obligation and damages.

Outstanding advances from lessee amounted to ₱3,152,071 and ₱6,297,760 as at September 30, 2025 and 2024, respectively. Deferred rental income relative to the lease amounted to ₱2,132,380 as at September 30, 2025 and ₱4,448,030 as at September 30, 2024 as shown under "Accounts payable and other liabilities" account (Note 11).

Outstanding balance of receivable from tenants as at September 30, 2025 and 2024 amounted to nil and ₱345,003, respectively (Note 5). Total rental income is ₱4,998,937 and ₱7,080,741 in the quarter of September 30, 2025 and 2024, respectively.

20. INCOME/(LOSS) PER SHARE

The following table presents information necessary to calculate the loss per share for quarter ended June 30:

	2025	2024	2023
Consolidated net loss for the quarter	(₱1,487,694)	₱477,469	₱359,641
Weighted average number of common shares outstanding during the quarter	3,276,035,637	3,276,035,637	3,276,035,637
Loss per share	(₱0.0004)	₱0.0001	₱0.0001

21. CONTINGENCIES

Commitments, guarantees and contingent liabilities that arise in the normal course of operations of the Group are not reflected in the accompanying Group financial statements. Management is of the opinion that losses, if any, from these commitments and contingencies will not have a material effect on the Group financial statements.

Civil Case No. Q-04-52629 entitled "Social Security System vs. Waterfront Philippines, Inc., Wellex Industries, Inc. & The Wellex Group, Inc." filed before the Regional Trial Court of Quezon City for Claim for Sum of Money with Damages

CA G.R. SP No.187166 entitled ""Social Security System vs. Hon. Presiding Judge Renato M. Pambid, Waterfront Philippines, Inc., Wellex Industries, Inc. & The Wellex Group, Inc." filed before the Court of Appeals for Petition for Certiorari (with Application for Temporary Restraining Order and/or Preliminary Injunction)

In connection with the case:

G.R. No. 249337 entitled, "Waterfront Philippines, Inc. (WPI), Wellex Industries, Inc. (WIN), and The Wellex Group, Inc. (TWGI) vs. Social Security System (SSS)" with Supreme Court Decision dated July 6, 2021

On September 7, 1999, the Board of Directors approved the execution of a third-party real estate mortgage on the Group's properties located in Quezon City with an actual area of 6,678 square meters to secure the loan of Waterfront Philippines, Incorporated (WPI), an affiliate, with the Social Security System (SSS) amounting to ₱375 million. In 2003, SSS foreclosed the asset mortgaged in the amount of ₱198,639,000.

The Group filed a civil case against SSS on the foreclosed property claiming for sum of money and damages in the amount of ₱500 million. On January 12, 2015, the contract of loan and real estate mortgage were declared null and void by the RTC. Thus, WPI was directed to return the amount of ₱375 million to SSS and for SSS to return the properties and shares used as collateral. SSS filed an appeal to the Court of Appeals.

On August 30, 2019, the Court of Appeals issued its Decision reversing the RTC's Decision dated January 13, 2015 and Order dated May 11, 2015. The CA declared that the October 28, 1999 "Contract of Loan with Real Estate Mortgage and Assignment of Shares with Option to Convert to Shares of Stock" and the extra judicial foreclosure sale of the Green Meadows properties covered by Transfer Certificate of Title Nos. N-153395 and N-153396 are valid.

The CA ordered WPI to satisfy the deficiency under the October 28, 1999 "Contract of Loan with Real Estate Mortgage and Assignment of Shares with Option to Convert to Shares of Stock" in the sum of ₱841,567,136.85 due to SSS as of April 30, 2010. This obligation shall earn the stipulated interest and penalty charges, in accordance with the terms and conditions of the October 28, 1999 "Contract of Loan with Real Estate Mortgage and Assignment of Shares with Option to Convert to Shares of Stock", computed from April 30, 2010 until finality of the Decision.

On November 4, 2019, the Group together with WPI and TWGI filed a Petition for Review on Certiorari before the Supreme Court (SC). The SC in its decision dated July 6, 2021 granted the petition and the CA's Decision dated August 30, 2019 was reversed and set aside. SSS filed its Motion for Reconsideration dated January 28, 2022 praying for the dismissal of WPI's Petition for Certiorari. On September 21, 2022, the SC issued a resolution denying SSS's Motion for Reconsideration with finality. On December 20, 2022, the SC issued an Entry of Judgment.

As the decision of the SC became final, the records of the case will be immediately transmitted to the Regional Trial Court for execution. In compliance with the SC's Decision, both parties submitted their respective proposed computation of all amounts to be paid as well as a list of all properties to be returned by each party before the RTC.

Thereafter, the RTC issued an Order dated August 17, 2023 directing WPI to pay the amount of ₱258,117,749.89 to plaintiff SSS which is the balance of the amount due to plaintiff after set off of the

amounts due to defendant WIN. The RTC also ordered the plaintiff SSS to return to defendant WIN the original copies of Transfer Certificate of Title (TCT) Nos. N-153395 and N-153396 and reconvey the properties to defendant WIN. Also, Regina Capital Corporation was ordered by the RTC to release to defendant TWGI stock certificates representing 235,000,000 shares of WPI and 80,000,000 shares of WIN.

SSS then filed a Motion for Reconsideration to the aforesaid Order, but the same was denied by the Court. SSS filed its Manifestation of Conditional Acceptance. WPI, WIN and TWGI then filed a Motion to Direct the Register of Deeds of Quezon City to cancel TCT Nos. N-281261 and N-281262 and to reinstate TCT Nos. N-153395 and N-153396 to which the Court granted in its Order dated August 6, 2024.

Thereafter, SSS filed its Urgent Omnibus Motion for Reconsideration of the August 6, 2024 Order and for Inhibition of Hon. Presiding Judge Renato M. Pambid ("Hon. Pambid"). The said Motion was denied by the Court on October 3, 2024.

On December 3, 2024, SSS filed a Petition for Certiorari (with Application for Temporary Restraining Order and/or Preliminary Injunction) against Hon. Pambid, WPI, WIN and TWGI before the Court of Appeals, docketed as CA G.R. SP No.187166. The case was then consolidated under CA G.R. No.183716 and the counsels of WPI, WIN and TWGI filed a manifestation stating that the consolidation is not proper.

On January 30, 2025, CA refer the case to Philippine Mediation Center (PMC-CA) Unit. On October 10, 2025, parties attended the mediation but unfortunately, the mediation was not successful. The case is now awaiting resolution of the Court of Appeals.

22. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group is exposed to a variety of financial risk which results from both its operating and financing activities. The Group's risk management is coordinated with the Board of Directors and focuses on actively securing the short-term cash flows by minimizing the exposure to financial markets.

The Group does not actively engage in the trading of financial assets for speculative purposes nor does it write options.

The most significant financial risks to which the Group is exposed to are described below:

Credit risk

Credit risk refers to the risk that a counterparty will default its contractual obligation resulting in financial loss to the Group. The Group's credit risk is primarily attributable to its financial assets which composed of cash, trade and other receivables, instalment contract receivables and advances to related parties.

The Group's exposure to credit risk arises from default of the counterparty with a maximum exposure equal to the carrying amount of these instruments, as summarized below:

Credit risk exposure

The Group's maximum exposure to credit risk without taking into account any collateral held or other credit enhancements arises from the carrying amount financial assets recognized in the consolidated statements of financial position.

In order to minimize credit risk, the Group has developed and maintained internal credit risk gradings to categorize exposures according to their degree of risk of default. The Group uses its own trading records to rate its major customers and other debtors.

The Group's current credit risk grading framework is as follows:

Category	Description	Basis for recognizing ECLs	Base	Minimum allowance for credit losses	Stage
Performing	The counterparty has a low risk of default and does not have any past due amounts	12-month ECS	0%	0%	1
Doubtful	Amount is 1-30 days past due or there has been a significant increase in credit risk since initial recognition	Lifetime ECL-not credit impaired	25%	1%	2
	Amount is 31-90 days past due or there is evidence indicating the asset is credit-impaired	Lifetime ECL-not credit impaired	25%	5%	2
	Amount is 91-180 days past due or there is evidence indicating the asset is credit-impaired	Lifetime ECL-not credit impaired	25%	10%	2
	Amount is 181-360 days past due or there is evidence indicating the asset is credit-impaired	Lifetime ECL-not credit impaired	25%	12%	2
In default	Amount is over 1-2 years past due or there is evidence indicating the asset is credit impaired	Lifetime ECL-credit impaired	50%	15%	3
	Amount is over 2-3 years past due or there is evidence indicating the asset is credit impaired	Lifetime ECL-credit impaired	100%	15%	3
	Amount is over 3-5 years past due or there is evidence indicating the asset is credit impaired	Lifetime ECL-credit impaired	100%	50%	3
Write off	There is evidence indicating that the debtor is in severe financial difficulty and the Group has no realistic prospect of recovery	Amount is written-off	100%	100%	3

The maximum credit risk exposure of the financial assets is the carrying amount of the financial assets shown on the face of statement of financial position, as summarized below as at September 30:

		Basis of recognizing ECL	2025	2024
Cash, excluding cash on hand	(a)		₱6,753,492	₱10,615,413
Trade and other receivables, at net amount	(b)	Lifetime ECL	37,257,785	27,654,292
Advances to related parties, at net amount	(c)	Lifetime ECL	33,519,669	21,714,882
			₱77,530,946	₱59,984,587

None of the Group's financial assets are secured by collateral or other credit enhancements, except for cash as described below.

(a) Cash

The credit risk for cash in banks is considered negligible, since the counterparties are reputable banks with high quality external credit ratings. Cash in banks are insured by the Philippine Deposit Insurance Corporation up to a maximum coverage of ₱500,000 for every depositor per banking institution.

(b) Trade and other receivables and advances to related parties

Trade and other receivables

Credit risk arising from rental income from leasing of buildings is primarily managed through a tenant selection process. Prospective tenants are evaluated on the basis of payment track record and other credit information. In accordance with the provisions of the lease contracts, the lessees are required to

deposit with the Group security deposits and advance rentals which helps reduce the Group's credit risk exposure in case of defaults by the tenants.

For existing tenants, the Group has put in place a monitoring and follow-up system. Receivables are aged and analyzed on a continuous basis to minimize credit risk associated with these receivables.

The Group has applied simplified approach to measure the loss allowance using management's adopted policy on ECL on trade and other receivables.

Advances to related parties

For advances to related parties, the Group has applied the general approach to measure the loss allowance at lifetime ECL. The Group determines the ECL on these items by using a provision matrix, estimated based on historical credit loss experience based on the past due status of the debtors, adjusted as appropriate to reflect current conditions and estimates of future economic conditions.

To measure the ECL, trade and other receivables, and advances to related parties have been grouped based on shared credit risk characteristics and the days past due. The Group has therefore concluded that the expected loss rates for trade and other receivables, and advances to related parties are a reasonable approximation of the loss rates for the financial assets.

The management continues to review trade and other receivables and advances to related parties for any legally enforceable right to offset with liabilities with the expressed intention of the borrower to settle on a net basis.

Impaired accounts represent account of third parties and related parties that have not paid for a long time and for which the Group believes that a portion of the receivables may not be collected. The allowance is estimated based on the Group's estimate for accounts which it believes may no longer be collected.

Equity Price risk

Equity price risk is the risk that the fair value of equity instrument decreases as a result of changes in the value of individual stocks. The Group's exposure to equity price risk arises from investments held by the Group and classified in the Group's consolidated statements of financial position as financial asset at FVOCI.

Equity instruments designated at FVOCI in unquoted price are held for strategic rather than trading purposes. The Group does not actively trade these investments.

Liquidity risk

The Group's policy is to maintain a balance between continuity of funding through cash advances from related parties.

The following table details the Group's remaining contractual maturity for its financial liabilities. The table below has been drawn up based on undiscounted cash flows of financial liabilities based on earliest date on which the Group can be required to pay.

September 30, 2025	With indefinite term of maturity	With definite term of maturity		Total
		Due within one year	More than one year	
Accounts payable and other liabilities	P-	P5,915,587	P-	P5,915,587
Lease liability	-	137,908	46,930	184,838
Advances from related parties	409,444,666	-	-	409,444,666
Advances from lessees	-	3,152,071	-	3,152,071
	P409,444,666	P9,205,566	P46,930	P418,697,162

**excluding government liabilities*

September 30, 2024	With indefinite term of maturity	With definite term of maturity		Total
		Due within one year	More than one year	
Accounts payable and other liabilities	P-	P5,033,326	P-	P5,033,326
Lease liability	-	48,323	-	48,323
Advances from related parties	397,786,722	-	-	397,786,722
Advances from lessees	-	6,297,760	-	6,297,760
	P397,786,722	P11,379,409	P-	P409,166,131

**excluding government liabilities*

Substantial portion of the Group's financial liabilities consist of advances from related parties. There are no specific terms of advances agreed with the related parties. The Group does not expect to pay its liabilities nor expect related parties to collect within twelve (12) months after the reporting date. Furthermore, advances from affiliates and stockholders were settled through assignment and offsetting among the Group.

23. CAPITAL RISK MANAGEMENT

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern, so that it can continue to provide returns for stockholders and to maintain an optimal capital structure to reduce the cost of capital.

The Group defines capital as share capital and deficit for the purpose of capital management.

Consistently with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including accounts payables and other liabilities, advances from related parties as shown in the consolidated statements of financial position) less cash. Total capital is calculated as Equity as shown in the consolidated statement of financial position plus Net debt.

Gearing ratio compares some form of owner's equity to borrowed funds. It is a measure of financial leverage demonstrating the degree to which the Group's activities are funded by owner's funds versus creditor's fund.

During the second quarter of 2025, the Group's strategy, which was unchanged from 2024, was to keep the gearing ratio below 50% as proportion to net debt to capital. The gearing ratios as at September 30 were as follows:

	2025	2024
Gross debt	P422,711,675	P416,160,025
Cash	(6,773,492)	(10,635,413)
Net debt	415,938,183	405,524,612
Total equity	1,397,084,288	1,203,235,632
Total capital	1,813,022,471	1,608,760,244
Gearing ratio	22.94%	25.21%

The status of the Group's operation and management plan is fully disclosed in Note 1.

The Parent Company is subject to externally imposed capital requirement amounting to P6,250,000 which is the minimum paid-up capital requirement of SEC for mining companies. As at September 30, 2025 and 2024, the Parent Company is in compliance with this externally imposed capital requirement.

On the other hand, the Parent Company's subsidiaries are not subject to any externally imposed capital requirements.

24. FAIR VALUE INFORMATION

Assets and liabilities not measured at fair value

The methods and assumptions used by the Group in estimating the fair value of the financial instruments is as follows:

- (a) The fair values of advances to related parties and advances from related parties are determined based on the discounted value of future cash flows using the prevailing PH BVAL rates that are specific to the tenor of the instruments' cash flow as at reporting date. Discount rates used is 5.21% in 2022 and 11.66% in 2021.
- (b) The fair values are based on combination of appraisal done by an independent appraiser on various dates in 2022 and using the market approach, in which the fair value is based on prices recently paid for similar assets, with adjustment made to the indicated market prices to reflect condition and utility of the appraised assets relative to the market comparable.

The fair value of cash, trade and other receivables, instalment contract receivable, accounts payable and other liabilities, lease liability and advances from lessee's approximate carrying value due to relatively short-term maturities.

25. RECONCILIATION OF LIABILITIES ARISING FROM FINANCING ACTIVITIES

The reconciliation about the changes in the Group's liabilities arising from financing activities, including both cash and non-cash changes for the years ended September 30 are as follows:

	Balance as at January 1, 2025	Changes from financing cash flows	Balance as at September 30, 2025
Advances from related parties	₱402,888,139	₱6,556,527	₱409,444,666
Lease liability	184,838	-	184,838
	<u>₱403,072,977</u>	<u>₱6,556,527</u>	<u>₱409,629,504</u>

	Balance as at January 1, 2024	Changes from financing cash flows	Balance as at September 30, 2024
Advances from related parties	₱400,207,716	(₱2,420,994)	₱397,786,722
Lease liability	48,323	-	48,323
	<u>₱400,256,039</u>	<u>(₱2,420,994)</u>	<u>₱397,835,045</u>

26. RECLASSIFICATION

Certain accounts in September 30, 2025 unconsolidated financial statements were reclassified to conform to the current year's presentation.

* * *

WELLEX INDUSTRIES INCORPORATED AND SUBSIDIARIES
APPENDIX A – FINANCIAL SOUNDNESS

	30-Sept 2025	30-Sept 2024	31-Dec 2024
Profitability ratios:			
Return on assets	Nil	Nil	0.109
Return on equity	Nil	Nil	0.142
Net profit margin	Nil	Nil	6.110
Gross profit margin	0.00	0.91	0.608
Solvency and liquidity ratios:			
Current ratio	5.11	3.29	4.24
Debt to equity ratio	0.30	0.35	0.30
Financial leverage ratios:			
Asset to equity ratio	1.30	1.35	1.30
Debt to asset ratio	0.23	0.26	0.230
Interest rate coverage ratio	Nil	Nil	261.38

WELLEX INDUSTRIES INCORPORATED AND SUBSIDIARIES
APPENDIX B – ACCOUNTS RECEIVABLE AGING
September 30, 2025

	Current	1-30 days	31-60 days	Over 60 days	Total
Advances to third parties	₱-	₱-	₱-	₱111,489,708	₱111,489,708
Receivable from related parties				318,506	318,506
Rental receivable	-	-	-	-	-
Utilities receivable	146,571	152,060	127,027	7,494	433,152
Others	-	-	1,680	7,338,017	7,339,697
Subtotal	146,571	152,060	128,707	119,153,725	119,581,063
Impairment - Advances to affiliates				(82,323,278)	(82,323,278)
Allowance for doubtful accounts					
Accounts receivable	146,571	152,060	128,707	36,830,447	₱37,257,785